1 Introduction to Accounting

LEARNING OBJECTIVES

After studying this chapter, you should be able to understand:

- Meaning of Accounting
- Meaning of Accountancy
- Meaning of Book-keeping
- Relationship between Accountancy, Accounting and Book-keeping
- Distinction between Book-keeping and Accounting
- Meaning of an Accounting Cycle
- Users of Accounting Information and their needs
- Primary Objectives of Accounting
- Advantages of Accounting
- Limitations of Accounting

INTRODUCTION

In all activities (whether business activities or non-business activities) and in all organisations (whether business organisations like a manufacturing entity or trading entity or non-business organisations like schools, colleges, hospitals, libraries, clubs, temples, political parties) which require money and other economic resources, accounting is required to account for these resources. In other words, wherever money is involved, accounting is required to account for it. Accounting is often called the language of business. The basic function of any language is to serve as a means of communication. Accounting also serves this function.

1.0 MEANING OF ACCOUNTING

Traditional Definition

"Accounting is an art of recording, classifying and summarising in a signified manner and in terms of money, transactions and events which are, in part at least of financial character, and interpreting the results thereof."

[American Institute of Certified Public Accountants (AICPA) (1941)]

Modern Definition

"Accounting is the process of identifying, measuring and communicating economic information to permit informed judgements and decisions by users of information."

[American Accounting Association (AAA) (1966)]

Activities covered under Accounting

Accounting covers the following activities:

1. Identifying	2. Measuring
3. Recording	4. Clssifying
5. Summarising	6. Analysing
7. Interpreting	8. Communicating

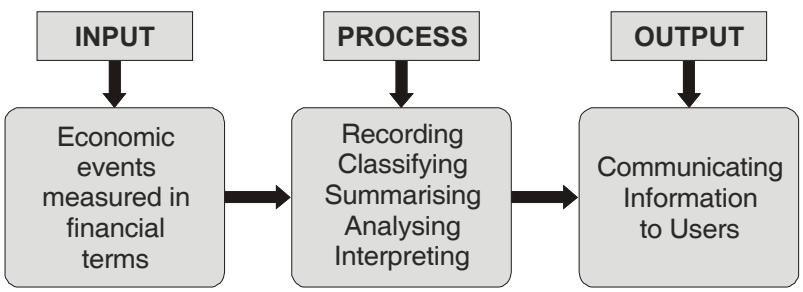
Let us discuss these activities one by one:

1. **Identifying the Transactions and Events —** Accounting identifies transactions and events of a specific entity. A transaction is an exchange in which each participant receives or sacrifices value (e.g., purchase of raw material). An event (whether internal or external) is a happening of consequence to an entity (e.g., use of raw material for production). An entity means an economic unit that performs economic activities (e.g., TATA Steels, Birla Industries Ltd., Reliance Industries Ltd., Infosys, Bharti Airtel).
2. **Measuring the Identified Transactions —** Accounting measures the transactions in terms of a common measurement unit, (that is the ruling currency of a country.)
3. **Recording —** It is concerned with the recording of identified and measured financial transactions in an orderly manner, soon after their occurrence in the proper books of account.
4. **Classifying —** It is concerned with the classification of the recorded transactions so as to group the transactions of similar type at one place. This function is performed by maintaining the ledger in which different accounts are opened to which related transactions are brought to one place by posting. *For example,* all purchases of goods made for cash or on credit on different dates are brought to purchases account.
5. **Summarising —** It is concerned with the summarization of the classified transactions in a manner useful to the users. This function involves the preparation of Financial Statements such as Income Statement, Balance Sheet, Cash Flow Statement.
6. **Analysing** — It is concerned with the establishment of relationship between the various items *or* group of items taken from Income Statement *or* Balance Sheet

or both. Its purpose is to identify the financial strengths and weaknesses of the enterprise. It provides the basis for interpretation.

7. **Interpreting** — It is concerned with explaining the meaning and significance of the relationship so established by the analysis. Nowadays, the first six functions are performed by electronic data processing devices and the accountant has to concentrate mainly on the interpretation aspects of accounting. The accountants should interpret the statements in a manner useful to the users, so as to enable the users to make reasoned decisions out of alternative courses of action. The accountant should explain not only what has happened but also (a) why it happened, and (b) what is likely to happen under specified conditions.
8. **Communicating** — It is concerned with the transmission of summarised, analysed and interpreted information to the users to enable them to make reasoned decisions.

Communication is preceded by an accounting cycle through which the identified and measured transactions and events pass. Accounting performs a basic function of a language, that is, to serve as a means of communication. **It is an information system which communicates the accounting information to the users (whether internal or external) to enable them to make reasoned decisions. As an information system, accounting may be viewed as under:**



Note: *Economic Event refers to the occurrence of economic consequence of an activity related to an accounting entity.*

2.0 MEANING OF ACCOUNTANCY

Accountancy refers to a systematic knowledge of accounting. It explains **'why to do' and 'how to do'** of various aspects of accounting. It tells us why and how to prepare the books of accounts and how to summarize the accounting information and communicate it to the interested parties.

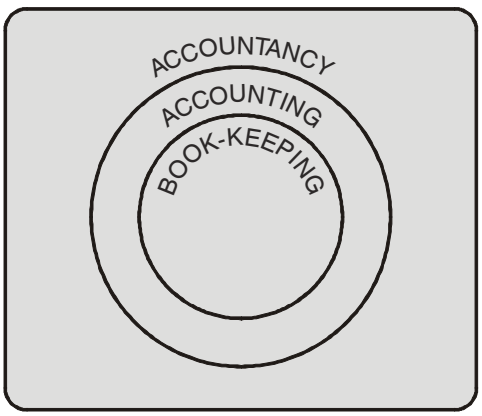
3.0 MEANING OF BOOK-KEEPING

Book-keeping is a part of accounting and is concerned with record keeping *or* maintenance of books of accounting which is often routine and clerical in nature. It only covers the following four activities:

1. Identifying the transactions and events
2. Measuring the identified transactions and events in a common measuring unit
3. Recording the identified and measured transactions and events in Proper Books of Accounts
4. Classifying the recorded transactions and events in the ledger

4.0 RELATIONSHIP BETWEEN ACCOUNTANCY, ACCOUNTING AND BOOK-KEEPING

Book-keeping is a part of Accounting. Accounting is a part of Accountancy. Diagrammatically, the relationship can be viewed as follows:



5.0 DISTINCTION BETWEEN BOOK-KEEPING AND ACCOUNTING

Book-keeping differs from accounting in the following respects:

Basis of Distinction	Book-keeping	Accounting
1. **Scope**	Book-keeping involves — (a) identifying the transactions, (b) measuring the identified transactions, (c) recording the measured transactions and (d) classifying the recorded transactions.	Accounting in addition to Book-keeping involves — summarizing the classified transactions, analysing the summarized results, interpreting the analysed results and communicating the interpreted information to the interested parties.
2. **Stage**	Book-keeping is **primary** stage.	Accounting is the **secondary** stage. It starts where book-keeping ends.
3. **Basic Objective**	The basic objective of book-keeping is **to maintain systematic records** of financial transactions.	The basic objective of accounting is **to ascertain Financial Performance and Financial Position and to communicate** information to the interested parties.
4. **Who Performs**	Book-keeping work is performed by **junior staff**.	Accounting work is performed by **senior staff**.
5. **Knowledge Level**	The book-keeper is not required to have **higher** level of **knowledge** than that of an accountant.	The accountant is **required** to have **higher** level of **knowledge** than that of book-keeper.

6. **Analytical Skill**	The book-keeper **may or may not possess** analytical skill.	An accountant is **required** to **possess** analytical skill.
7. **Nature of Job**	The job of a book-keeper is often **routine** and clerical in nature.	The job of an accountant is **analytical** in nature.
8. **Designing of Accounting System**	It does **not cover** designing of accounts system.	It **covers** designing of accounting system.
9. **Supervision & Checking**	The book-keeper **does not** supervise and check the work of an accountant.	An accountant **supervises and checks** the work of a book-keeper.

6.0 MEANING OF AN ACCOUNTING CYCLE

After identifying and measuring the financial transactions, the accounting cycle begins. An accounting cycle is a complete sequence beginning with the recording of the transactions and ending with the preparation of the final accounts. The sequential steps involved in an accounting cycle are given below:

Sequential Steps involved in an Accounting Cycle

Step 1 → **JOURNALISING**
Record the transactions in the Journal.

Step 2 → **POSTING**
Transfer the transactions (recorded in the Journal), in the respective accounts opened in the Ledger.

Step 3 → **BALANCING**
Ascertain the difference between the total of debit amount column and the total of credit amount column of a ledger account.

Step 4 → **TRIAL BALANCE**
Prepare a list showing the balances of each and every account to verify whether the sum of the debit balances is equal to the sum of the credit balances.

Step 5 → **INCOME STATEMENT**
Prepare Trading and Profit & Loss Account to ascertain the profit or loss for the accounting period.

Step 6 → **POSITION STATEMENT** (i.e. Balance Sheet)
Prepare the Balance Sheet to ascertain the financial position as at the end of accounting period.

7.0 USERS OF ACCOUNTING INFORMATION AND THEIR NEEDS

The users of accounting information include present and potential investors, management, employees, lenders, suppliers and other trade creditors, customers, government and their agencies and the public. These users use accounting information in order to satisfy some of their varied needs for information.

Some of the users and their needs for information are shown below.

Users	*Need for information*
1. Short-term creditors [For example, Suppliers of Raw materials/Goods, Suppliers of Short-term Loans]	Short-term creditors need information to determine whether their dues will be paid when due and whether they should extend, maintain or restrict the flow of credit to an individual enterprise.
2. Long-term creditors [For example, Suppliers of Long-term Loans]	Long-term creditors need information to determine whether their principals and the interest thereof will be paid when due and whether they should extend, maintain or restrict the flow of credit to an enterprise.
3. Present investors [For Example, Shareholders]	Present investors need information to judge prospects for their investment and to determine whether they should buy, hold or sell the shares.
4. Potential Investors [For Example, those who want to invest]	Potential investors need information to judge prospects of an enterprise and to determine whether they should buy the shares.
5. Management	Management need information to review the firm's (a) Short-term Solvency, (b) Long-term Solvency, (c) Activity (viz., Effective Utilisation of its Resources), (d) Profitability in relation to turnover, (e) profitability in relation to Investments and to decide upon the course of action to be taken in future.
6. Employees	Employees and their representative groups are interested in information about the stability and profitability of the employers. They are also interested in information which enables them to assess the ability of the enterprise to pay remuneration, retirement benefits and to provide promotion opportunities.
7. Tax Authorities	Tax authorities need information to assess the tax liabilities of an enterprise.
8. Customers	Customers have an interest in information about the continuation of an enterprise, especially when they have established a long term involvement with, or are dependent on, the enterprise.
9. Government and their Agencies	Government and their agencies are interested in the allocation of resources and, therefore, the activities of enterprise. They also require information in order to regulate the activities of enterprise, determine taxation policies and as the basis the national income and similar statistics.

10. Public	Enterprises affect members of the public in a variety of ways. *For example,* enterprises may make a substantial contribution to the local economy in many ways including the number of people, they employ and their patronage of local suppliers. Financial Statements may assist the public by providing information about trends and recent developments in the prosperity of the enterprise and the range of its activities.

While all the information needs of these users cannot be met by financial statements, there are some needs which are common to all users. The information contents of the financial statements which met information needs of the investors or providers of risk capital will also meet most of the needs of other users.

8.0 PRIMARY OBJECTIVES OF ACCOUNTING

The main objectives of accounting are as follows:

1. **To maintain Systematic Accounting Records** — Written records are always better than oral records, since written records can be used by different persons for different decision-making purposes and serve as evidence of transactions. Nowadays, the volume of transactions is so large, a human memory cannot absorb each and every transaction. Accounting is done to keep a systematic record of (i) Financial Transactions, (ii) Assets and (iii) Liabilities.
2. **To ascertain the Financial Performance** — To measure the financial performance of an enterprise, the results of operations are ascertained by preparing an Income Statement (also called Profit & Loss Account) which shows the matching of current costs with current revenues during a particular accounting period. A systematic record of Incomes and Expenses facilitates the preparation of the Income Statement.
3. **To ascertain the Financial Position** — To evaluate the financial strengths and weakness of an enterprise, the financial position is ascertained by preparing a Position Statement (also called Balance Sheet) which shows resources (assets) owned by an enterprise and the sources of financing those resources. A businessman wants to know what the business owes to others and what it owns, and what happened to his capital whether the capital has increased, decreased or remained constant. A systematic record of various assets and liabilities facilitates the preparation of a Position Statement (also known as Balance Sheet) which answers all these questions.
4. **To communicate the Information to the users** — Accounting communicates information to internal users and external users. The internal users include all the organizational participants at all levels of management (i.e. top, middle and lower). Top level management requires information for planning, middle level management requires information for controlling the operations. For internal use, the information is usually provided in the form of reports, for instance Cash Budget Reports, Production Reports, Idle Time Reports, Feedback Reports, Whether to Retain or Replace an Equipment Decision Reports, Project Appraisal Reports, and the like.

   Since the external users (e.g. Banks, Creditors) do not have direct access to all the records of an enterprise, they have to rely on financial statements as the source of information. External users are basically interested in the solvency and profitability of an enterprise.

9.0 ADVANTAGES OF ACCOUNTING

1. **Facilitates to Replace Memory —** Accounting facilitates to replace human memory by maintaining complete record of financial transactions. Human memory is limited by its very nature. Accounting helps to overcome this limitation.
2. **Facilitates to comply with Legal Requirements —** Accounting facilitates to comply with legal requirements which require an enterprise to maintain books of accounts. For example, Sec 209 of The Companies Act, 1956, requires a company to maintain proper books of accounts on accrual basis, Sec 44AA of The Income Tax Act 1961 requires certain persons to maintain specified books of accounts.
3. **Facilitates to ascertain Financial Performance —** Accounting facilitates to ascertain Financial Performance by preparing Income Statement.
4. **Facilitates to ascertain Financial Position —** Accounting facilitates to ascertain financial position by preparing Position Statement.
5. **Facilitates the users to take Decisions —** Accounting facilitates the users (i.e. Short-term Creditors, Long-term Creditors, Present Investors, Potential Investors, Employee Groups, Management, General Public, Tax Authorities) to take decisions by communicating accounting information to them.
6. **Facilitates a Comparative Study —** Accounting facilitates a comparative study in the following four ways:
   (i) Comparison of actual figures with standard or budgeted figures for the same period and the same firm;
   (ii) Comparison of actual figures of one period with those of another period for the same firm (i.e., Intra-firm Comparison);
   (iii) Comparison of actual figures of one firm with those of another standard firm belonging to the same industry (i.e., Inter-firm Comparison); and
   (iv) Comparison of actual figures of one firm with those of industry to which the firm belong (i.e., Pattern Comparison)
7. **Assists the Management —** Accounting assists the management in planning and controlling business activities and in taking decisions. *For example*, Projected Cash Flow Statement facilitates the management to know future receipts and payments and to take decision regarding anticipated surplus or shortage of funds.
8. **Facilitates Control over Assets —** Accounting facilitates control over assets by providing information regarding Cash Balance, Bank Balance, Debtors, Fixed Assets, Stock etc.
9. **Facilitates the Settlement of Tax Liability —** Accounting facilitates the settlement of tax liability with the authorities by maintaining proper books of accounts in systematic manner.
10. **Facilitates the Ascertainment of Value of Business —** Accounting facilitates the ascertainment of value of business in case of transfer of business to another entity.
11. **Facilitates Raising Loans —** Accounting facilitates raising loans from lenders by providing them historical and projected financial statements.
12. **Acts as Legal Evidence —** Proper books of accounts maintained in systematic manner act as legal evidence in case of disputes.

10.0 LIMITATIONS OF ACCOUNTING

1. **Ignores the Qualitative Elements —** Since the accounting is confined to the monetary matters only, the qualitative elements like quality of management, quality of labour force, public relations are ignored.
2. **Not Free from Bias —** In many situations, the accountant has to make a choice out of various alternatives available, eg., choice in the method of depreciation (e.g., Straight Line or Written down), choice in the method of inventory valuation (e.g., FIFO, LIFO etc.). Since the subjectivity is inherent in personal judgement, the financial statements are therefore not free from bias. As a result, the analysis of financial statements also cannot be said to be free from bias.
3. **Ignores the Price Level Changes in case of Financial Statements Prepared on Historical Costs —** In case of financial statements prepared on historical costs, the Fixed Assets are shown in the Balance Sheet at historical costs *less* depreciation and not at the replacement value which is often far higher than the value stated in the Balance Sheet. The analysis of such financial statements will not yield strictly comparable results unless the price-level changes are taken into account.
4. **Estimated Position and not Real Position —** Since the financial statements are prepared on a going concern basis as against liquidation basis, they report only the estimated periodic results and not the true results since the true results can be ascertained only on the liquidation of an enterprise.
5. **Danger of Window Dressing —** When the management decides to enter wrong figures to artificially inflate or deflate the figure of Profits, Assets and Liabilities, the Income Statement fails to provide true and fair view of the Financial Performance and Balance Sheet fails to provide true and fair view of the Financial Position of the enterprise.

THEORETICAL QUESTIONS

1. What is meant by Accounting?
2. List the activities covered under Accounting.
3. What is meant by Transaction?
4. What is meant by an Event?
5. What is meant by an Entity?
6. What is meant by Identifying?
7. What is meant by Recording?
8. What is meant by Classifying?
9. What is meant by Summarising?
10. What is meant by Analysing?
11. What is meant by Interpreting?
12. What is meant by Communicating?
13. What is meant by Accountancy?
14. What is Book-keeping?
15. State any two points of difference between Book-keeping and Accounting.

16. What is an Accounting Cycle?

17. List the sequential steps involved in an Accounting Cycle.

18. Name any four users of Accounting Information.

19. List the primary objectives of Accounting.

20. List any two advantages of Accounting.

21. List any two limitations of Accounting.

2 Basic Accounting Terms

LEARNING OBJECTIVES

After studying this chapter, you should be able to understand:

- Entity
- Business Transaction
- Assets
- Capital
- Goods
- Sales
- Trade Debtors
- Bills Receivables
- Capital Expenditure
- Deferred Revenue Expenditure
- Revenue Receipts
- Income
- Gains
- Discount
- Cash Discount
- Voucher
- Event
- Account
- Liabilities
- Drawings
- Purchases
- Stock (or Inventory *or* Merchandise)
- Trade Creditors
- Bills Payables
- Revenue Expenditure
- Capital Receipts
- Expenses
- Net Profit
- Losses
- Trade Discount
- Cost
- Revenue

1.0 ENTITY

An entity means an economic unit that performs economic activities (**For Example,** TATA Steel, Birla Industries, Reliance Industries, Infosys, Bharti Airtel).

2.0 EVENT

An event is a happening of consequence to an entity (**For Example,** Use of Raw Materials for Production).

3.0 BUSINESS TRANSACTION

A Business transaction is an exchange in which each participant receives or sacrifices value (**For example,** Purchase of Raw Material for cash *or* on credit). It involves exchange of goods *or* services on cash *or* credit basis. It is an economic event that relates to a business entity involving transfer of money *or* money's worth.

4.0 ACCOUNT

An account is a summary of relevant transactions at one place relating to a particular head. It records not only the amount of transaction but also their effect and direction.

5.0 ASSETS

Assets refer to tangible objects or intangible rights of an enterprise which carry probable future benefits. In other words, an asset is a resource controlled by the enterprise as a result of past events and from which future economic benefits are expected to flow to the enterprise. These assets may broadly be classified as follows:

1. **Current Assets** — Current assets are those assets which are held —
   (i) in the form of cash,
   (ii) for their conversion into cash, normally within 12 months from the dateof Balance Sheet and
   (iii) for their consumption in the production of goods or rendering of services in the normal course of business.

   For example, Cash in Hand, Cash at Bank, Stock of Finished Goods, Debtors, Bills Receivables, Stock of Raw Materials, Stock of Work-in-Progress.

   Liquid Assets (or Quick Assets) – Liquid Assets represent the Current Assets other than Stock and Prepaid Expenses.

   Liquid Assets = Current Assets – Stock & Prepaid Expenses
2. **Fixed Assets** — Fixed assets refer to those assets which are held for the purposes of producing *or* providing goods or services and those that are not held for resale in the normal course of business. Fixed assets may be classified as follows:
   (i) Tangible Fixed Assets — Refer to those fixed assets which have physical existance. **For example,** Land and Building, Plant and Machinery and Furniture and Fixtures.
   (ii) Intangible Fixed Assets — Refer to those fixed assets which do not have physical existance. **For example,** Goodwill, Patent, Trademarks, Copyrights and the like.
3. **Fictitious Assets:** Fictitious Assets *either* represent Accumulated Losses *or* Deferred Revenue Expenses not yet written off till the date of Balance Sheet.

How to determine whether an asset is a Current asset or Fixed asset?

An asset is classified *either* as a Current Asset *or* as a Fixed Asset on the basis of the purpose for which an asset is held in the hands of user.

EXAMPLE

The following table summarises the circumstances when a particular asset is treated as Current in one case and Fixed in another case:

Asset	*When treated as Current Asset*	*When treated as Fixed Asset*
1. **Land**	In case of Land Developers & Property Dealers.	In case of other persons.
2. **Buildings**	In case of Builders & Property Dealers.	In case of other persons.
3. **Furniture**	In case of Furniture Manufacturers and Furniture Dealers.	In case of other persons.
4. **Motor Vehicles**	In case of Motor Vehicles Manufacturers and Dealers.	In case of other persons.
5. **Shares & Debentures**	In case of Dealer in Securities.	In case of other persons.
6. **Plant & Machinery**	In case of Plant & Machinery Manufacturers and Dealers.	In case of other persons.

6.0 LIABILITIES

Liabilities refer to the financial obligations of an enterprise other than owner's funds. Liabilities may be broadly classified as follows:

I. Liabilities on the Basis of Period

1. **Current Liabilities** — Current liabilities refer to those liabilities which are expected to be settled normally within 12 months from the date of the Balance Sheet. **For example,** Bills Payable, Trade Creditors, Outstanding Expenses, Bank Overdraft and so on.
2. **Non-Current Liabilities** — Non-Current liabilities refer to those liabilities which are expected to be settled after 12 months from the date of Balance Sheet. **For example,** Long-term Loans, Debentures and the like.

II. Liabilities on the Basis of Source

1. **Internal Liabilities:** Internal Liabilities refers to the financial obligations of an enterprise towards owners.
2. **External Liabilities:** External Liabilities refer to the financial obligations of an enterprise towards outsiders.

7.0 CAPITAL

Capital refers to the amount invested in an enterprise by the proprietor (*in case of proprietorship*) or partners (*in case of a partnership concern*). This amount is increased by the amount of profits earned and amount of additional capital introduced and is decreased by the amount of losses incurred and the amount withdrawn (*whether in the form of cash or kind*). It represents the owner's claim on the assets of the enterprise. It is also known as Owner's Equity *or* Net Assets *or* Net Worth.

Since the liability holders have a definite and prior claim against the assets, the capital is also called a residual of assets over liabilities and may be expressed as follows:

Capital = Assets – Liabilities

Thus, Capital is the excess of Assets over External Liabilities.

8.0 DRAWINGS

The term 'Drawings' refer to the total amount of cash or goods or any other asset withdrawn by the proprietor (*in case of a proprietorship enterprise*) or partner (in case of a partnership enterprise) for personal use. **For example,** If Cash of ₹ 10,000 and Goods costing ₹ 5,000 are withdrawn by a proprietor, ₹ 15,000 is called as the amount of drawings.

9.0 GOODS

Goods refer to the items in which the enterprise deals in. **For example,** Cars purchased by a Car Dealer, Tables & Chairs purchased by a Furniture Dealer.

10.0 PURCHASES

The term 'Purchases' refers to the total amount of goods obtained by an enterprise for resale or for use in the production of goods or rendering of services in the normal course of business. The purchases may be for cash *or* on credit. **For example,** in case 100 units are purchased @ ₹ 2 per unit for cash, ₹ 200 is called as the amount of cash purchase. In case 200 units are purchased @ ₹ 3 per unit from Ram on credit, ₹ 600 is called as the amount of credit purchase.

11.0 SALES

The term 'Sales' refers to the amount for which the goods are sold or services are rendered. The sales may be for cash *or* on credit. **For example,** in case 60 units are sold @ ₹ 5 per unit, ₹ 300 is called as the amount of sales.

12.0 STOCK (OR INVENTORY OR MERCHANDISE)

The term 'Stock' refers to tangible property held for sale in the ordinary course of business *or* for consumption in the production of goods or services for sale. It includes Stock of Raw Materials, Semi-Finished goods and Finished Goods. **For example,** in case 40 units out of 100 units (purchased @ ₹ 2 per unit) remained unsold, ₹ 80 is called as the Cost of Stock. The stock may be Opening Stock or Closing Stock. **Opening Stock** means the unsold goods at the beginning of the Current Accounting

Period. **Closing Stock** means the Unsold Goods at the end of the Current Accounting Period.

13.0 TRADE RECEIVABLES

The term 'Trade Receivables' include Trade Debtors and Bills Receivables.

13.1 TRADE DEBTORS

The term 'Trade Debtor' refers to the person from whom the amounts are due for goods sold *or* services rendered on credit basis. **For example,** in case 60 units are sold to Mr *X* @ ₹ 5 per unit on credit, Mr *X* is a Trade Debtor of the business.

13.2 BILLS RECEIVABLES

A bill of exchange is an unconditional order in writing given by the creditor to the debtor to pay on demand or at a fixed *or* determinable future time, a certain sum of money to *or* to the order of a specified person *or* to the bearer. This bill of exchange is known as Bills Receivable for the creditor.

14.0 TRADE PAYABLES

The term 'Trade Payables' include Trade Creditors and Bills Payables.

14.1 TRADE CREDITORS

The term 'Trade Creditor' refers to the person to whom the amounts are due for goods purchased *or* services rendered on credit basis. **For example,** in case 100 units are purchased @ ₹ 2 per unit from Mr *Y* on credit, Mr *Y* is a Trade Creditor of the business.

14.2 BILLS PAYABLES

The Bill of Exchange is known as Bills Payable for the Debtors.

15.0 CAPITAL EXPENDITURE

1. Meaning	It is an expenditure which is incurred: (a) to acquire o*r* bring into existence an asset, *or* (b) to acquire *or* bring into existence an advantage *or* benefit of an enduring nature, *or* (c) to increase the productivity *or* earning capacity.
2. Benefits	It normally *yields* benefits *beyond* current accounting period.
3. Accounting Treatment	It is debited to the Respective Asset Account.
4. Examples	(a) Cost of Land and Building (b) Cost of Plant and Machinery (c) Cost of Furniture and Fixtures

16.0 REVENUE EXPENDITURE

1. Meaning	It is an expenditure which is incurred: (a) to maintain the productivity *or* earning capacity of a business. (b) to carry out operating activities in the normal course of business.
2. Benefits	It normally *does not yield* benefits beyond current accounting period.
3. Accounting Treatment	It is debited to Respective Expense Account.
4. Examples	(a) Depreciation on Land & Building (b) Rent of Machines (c) Repairs of Building (d) Insurance of Building

17.0 DEFERRED REVENUE EXPENDITURE

1. Meaning	*According* to *the Guidance note on 'Terms used in Financial Statements', issued by ICAI* '**Deferred revenue expenditure is the expenditure for which payment has been made *or* a liability has been incurred but which is carried forward on the presumption that it will be of benefit over a subsequent period or periods**'. In short, it refers to that expenditure which is, for the time being, deferred from being charged to income. Such suspension of 'charging off' operation may be due to the nature of expenses and the benefit expected therefrom.
2. Example	Heavy advertising to launch a new product is a deferred revenue expenditure since the benefit from it will be availed over the next 3 to 5 years.
3. Accounting Treatment	Normally such expenditure should be written off over a period of 3 to 5 years.

18.0 CAPITAL RECEIPTS

1. Meaning	Capital receipts refer to those receipts which are not revenue in nature.
2. Accounting Treatment	These are credited to the respective account of capital nature.
3. Examples	(a) Sale of Land and Building by a person other than a dealer in real estate. (b) Raising of Loan by a person other than one engaged in the business of finance/banking. (c) Raising of Capital.

19.0 REVENUE RECEIPTS

1. Meaning	Revenue receipts refer to those receipts which arise in the normal course of business.
2. Accounting Treatment	These are credited to Respective Revenue Account.
3. Examples	(a) Sale of Land and Building by a dealer in real estate. (b) Sale of Securities by a dealer in securities

20.0 EXPENSES

Expenses are decrease in economic benefits during an accounting period in the form of (a) Outflow or Depletion of Assets or (b) Incurrence of Liabilities, that result in decrease in internal equity other than those relating to distribution to Equity Participants.

Example I: Purchase of Goods for Cash involves outflow of Cash.

Example II: Purchase of Goods on Credit involves increase in Creditors.

Example III: Discount Allowed to Customers involves decrease in Assets.

21.0 INCOME

Income is increase in economic benefits during an accounting period in the form of (a) Inflow of Assets, or (b) Decrease of Liabilities, that result in increase in internal equity other than those relating to Investment by Equity Participants.

Note: Equity Participants means —

(a) Proprietor in case of sole proprietorship

(b) Partners in case of a partnership firm

(c) Shareholders in case of a company

Example I: Trading Commission received involves inflow of Cash.

Example II: Discount Received from Creditors involves decrease in Creditors.

22.0 NET PROFIT

Net Profit means the excess of Revenue & Gains Over its **related** Expenses & Losses during an accounting period. It increases Owners' Equity.

Net Profit = (Revenue & Gain) – (Expenses & Loss)

23.0 GAINS

Gains are increases in equity (i.e., Net Assets) from incidental transaction of an entity and from all other transactions and other events and circumstances affecting the entity during the accounting period except those that result from revenues or investment by equity participants. These gains may be operating or non-operating.

Example I: Profit on sale of marketable securities is usually considered as operating gain.

Example II: Profit on sale of a fixed asset is usually considered as non-operating gain.

Example III: Increase in Equity due to Profit on sale of goods is not considered as Gain because it is due to Revenue.

Example IV: Increase in Equity due to increase in Capital is not gain because it is due to increase in Capital.

24.0 LOSSES

Losses are decreases in equity (i.e., Net Assets) from incidental transactions of an entity and from all other transactions and other events and circumstances affecting the entity during the accounting period except those result from expenses or distribution to equity participants. These losses may be operating or non-operating.

Example I: Loss or Sale of marketable securities, losses on writing down inventory from Cost to Market Value, writing off Bad Debts are considered as operating losses.

Example II: Loss on Sale of a Fixed Asset, Losses from disposal of segments of enterprises, Losses on Foreign Currency Devaluations are usually considered as Non-Operating Losses.

25.0 DISCOUNT

Discount is an incentive to promote Sales (i.e. Trade Discount) *or* prompt payment by the debtors (i.e. Cash Discount).

26.0 TRADE DISCOUNT

Trade Discount is a reduction granted by a supplier from the list price of goods or services on business considerations (such as quantity bought, trade practices, etc.,) other than for prompt payment.

Example — If 10 Gold Rings are sold at the list price of ₹ 50,000 each subject to trade discount of 10%. In this case trade discount will be calculated as given on below:

10 Gold Rings @ ₹ 50,000	₹ 5,00,000
Less: Trade Discount @ 10%	₹ 50,000
Amount Payable as per Invoice	₹ 4,50,000

27.0 CASH DISCOUNT

Cash Discount is a reduction granted by a supplier from the invoice price in consideration of immediate payment *or* payment within a stipulated period.

Example — If in the above example, terms of payable are 2%, 30 Days, it means buyer will get 2% cash discount if he makes payment within 30 days. In case the purchaser makes the payment within 30 days, the cash discount will be calculated as under:

Amount Payable as per Invoice	₹ 4,50,000
Cash Discount @ 2%	₹ 9,000
Cash paid within 30 days	₹ 4,41,000

28.0 COST

The term 'Cost' may be defined as noun or as a verb as follows:

(a) **As a noun —** The amount of expenditure (actual *or* notional) incurred on a specified thing *or* activity.

(b) **As a verb —** To ascertain the cost of specified thing or activity.

ICA, India defines Cost as "*mesurement, in monetary terms, of the amount of resource used for the purpose of production of goods or rendering services*"

The work 'Cost' can rerely stand on its own and should be qualified as to its limitation (e.g., historical, variable, fixed etc.) and should be related to a particular thing or activity (e.g., a given quantity *or* unit of produced *or* services performed).

29.0 VOUCHER

Voucher is a documentary evidence in support of a business transaction. **For example,** in case of Cash Purchases, Cash memos and in case of Credit Purchases, Purchase Invoices are Vouchers. The vouchers act as source documents on the basis of which transactions are recorded in the books of accounts.

30.0 REVENUE

The term ‘revenue’ refers to the amount charged for the goods sold or services rendered, or permitting others to use enterprise’s resources yielding Interest, Royalty, and Dividend. **For example,** Sales, Commission earned, Interest earned, Royalty earned, Dividend earned.

THEORETICAL QUESTIONS

1. Explain the following terms:

(i) Assets
(ii) Liabilities
(iii) Capital
(iv) Revenue
(v) Expenses
(vi) Goods
(vii) Purchases
(viii) Sales
(ix) Stock
(x) Debtor
(xi) Creditor
(xii) Transaction
(xiii) Account
(xiv) Drawings
(xv) Trade Receivables
(xvi) Trade Payables
(xvii) Income
(xviii) Capital Expenditure
(xix) Revenue Expenditure
(xx) Deferred Revenue Expenditure
(xxi) Capital Receipts
(xxii) Revenue Receipts
(xxiii) Gains
(xxiv) Losses
(xxv) Trade Discount
(xxvi) Cash Discount
(xxvii) Voucher.

2. Classify the following under Assets, Liabilities, Revenues, Expenses or Capital:

(i) Machinery
(ii) Purchases
(iii) Stock
(iv) Creditors
(v) Capital
(vi) Salary paid to a clerk
(vii) Sales
(viii) Furniture
(ix) Interest received
(x) Rent paid
(xi) Loans taken
(xii) Loans granted

[**Ans.** (i) Asset (ii) Expense (iii) Asset (iv) Liability (v) Capital (vi) Expense (vii) Revenue (viii) Asset (ix) Revenue (x) Expense (xi) Liability (xii) Asset]

3 Basis of Accounting

LEARNING OBJECTIVES

After studying this chapter, you should be able to understand:

- Accrual Basis of Accounting
- Cash Basis of Accounting
- Hybrid Basis of Accounting
- Distinction between Accrual Basis of Accounting and Cash Basis of Accounting

1.0 ACCRUAL BASIS OF ACCOUNTING

1. Accrual Basis of Accounting is a method of recording transactions by which Revenue, Costs, Assets and Liabilities are recognised during the accounting period in which they accrue.
2. This basis includes consideration relating to deferrals, allocations, depreciation and amortisation.
3. This basis is also known as **Mercantile** basis of accounting.
4. Under the Companies Act 1956, all companies are required to maintain the books of accounts according to accrual basis of accounting.

2.0 CASH BASIS OF ACCOUNTING

Cash Basis of Accounting is a method of recording transactions by which Revenues, Costs, Assets and Liabilities are recognised during the accounting period in which Actual Receipts and Actual Payments take place.

3.0 HYBRID BASIS OF ACCOUNTING

It is a combination of both Cash Basis of Accounting and Accrual Basis of Accounting. Under the hybrid basis of accounting, Incomes are recorded on Cash basis (i.e., during the accounting period in which they are received irrespective of when they accrue) and Expenses are recorded on Accrual Basis, (i.e., during the accounting period in which they arise irrespective of when they are paid).

4.0 DISTINCTION BETWEEN ACCRUAL BASIS OF ACCOUNTING AND CASH BASIS OF ACCOUNTING

Accrual basis of accounting differs from Cash basis of accounting in the following respects:

Basis of Distinction	*Accrual Basis of Accounting*	*Cash Basis of Accounting*
1. Prepaid/Outstanding Expenses/accrued/ unaccrued Income in Balance Sheet	Under this, there may be Prepaid/Outstanding Expenses and Accrued/Unaccured Incomes in the Balance Sheet.	Under this, there is no Prepaid/Outstanding Expenses *or* Accrued/ Unaccrued Incomes.
2. Higher/lower Income in case of Prepaid Expenses and Accrued Income	Income Statement will show a relatively higher income.	Income Statement will show lower income.
3. Higher/Lower Income in case of outstanding expenses and Unaccrued Income	Income Statement will show a relatively lower income.	Income Statement will show higher Income.
4. Recognition under the Companies Act, 1956	This basis is **recognised** under the Companies Act, 1956.	This basis is **not recognised** under the Companies Act, 1956.
5. Availability of options to an accountant to	Under this, an accountant has **options**.	Under this an accountant has **no option** to make a choice as such.

ILLUSTRATION 1

Prakash furnitures supplies you the following information about his incomes and expenses for the financial year 2012–13:

	₹		₹
Expenses paid	**75,000**	**Income received**	**2,03,000**
Expenses paid in advance	**38,000**	**Income received in advance**	**25,000**
Expenses not yet paid	**23,000**	**Income earned but not received**	**22,000**
Loans taken	**1,00,000**	**Loans given**	**20,000**

Compute the Net Income on:

(i) Cash basis, (ii) Accrual basis, (iii) Hybrid basis.

SOLUTION

COMPUTATION OF INCOME

Particulars	*On Cash basis ₹*	*On Accrual basis ₹*	*On Hybrid basis ₹*
A. Total Revenue:			
(a) Income received	2,03,000	2,03,000	2,03,000
(b) Income received in advance	—	(25,000)	—
(c) Income not yet received	—	22,000	—
	2,03,000	2,00,000	2,03,000
B. Total Expenditure:			
(a) Expenses paid	75,000	75,000	75,000
(b) Expenses paid in advance	—	(38,000)	(38,000)
(c) Expenses not yet paid	—	23,000	23,000
	75,000	60,000	60,000
C. Income for the year	1,28,000	1,40,000	1,43,000

Note: Loans taken and Loan given are not considered while calculating Income because these represent Capital Receipts and Capital Payments respectively.

ILLUSTRATION 2

TULSIAN Cloth Agency provides you the following information for the year 2012–2013:

Cash sales ₹ 1,00,000
Credit sales ₹ 9,00,000 (out of which ₹ 8,00,000 collected)
Cash purchases ₹ 80,000
Credit purchases ₹ 6,50,000 (out of which ₹ 6,00,000 paid)
Expenses paid ₹ 75,000
Expenses paid in advance ₹ 38,000
Outstanding expenses ₹ 23,000
Closing stock at end Nil

Compute the Net Income on

(i) Cash basis, (ii) Accrual basis, (iii) Hybrid basis.

SOLUTION

COMPUTATION OF INCOME

Particulars	*On Cash basis ₹*	*On Accrual basis ₹*	*On Hybrid basis ₹*
A. Total Revenue:			
(a) Cash sales	1,00,000	1,00,000	1,00,000
(b) Credit sales			
(i) Collected	8,00,000	8,00,000	8,00,000
(ii) Outstanding	—	1,00,000	—
Total Revenue	9,00,000	10,00,000	9,00,000
B. Total Expenditure:			
(a) Cash purchases	80,000	80,000	80,000
(b) Credit purchases			
(i) Paid	6,00,000	6,00,000	6,00,000
(ii) Outstanding	—	50,000	50,000

(c) Expenses			
(i) Paid	75,000	75,000	75,000
(ii) Paid in advance	—	(38,000)	(38,000)
(iii) Outstanding	—	23,000	23,000
	7,55,000	7,90,000	7,90,000
C. Income	1,45,000	2,10,000	1,10,000

THEORETICAL QUESTIONS

1. What is Accrual Basis of Accounting?

2. What is Cash Basis of Accounting?

3. What is Hybrid Basis of Accounting?

4. Which basis of Accounting is recognised under the Companies Act, 1956?

5. Name the basis of Accounting under which Prepaid Expenses are adjusted.

6. Name the basis of Accounting under which Outstanding Expenses are adjusted.

7. Name the basis of Accounting under which Accrued Incomes are adjusted.

8. Name the basis of Accounting under which Unaccrued Incomes are adjusted.

4 Accounting Principles

LEARNING OBJECTIVES

After studying this chapter, you should be able to understand:

- Fundamental Accounting Assumptions
- Going Concern, Consistency and Accrual
- Accounting Principles
- Accounting Entity (or Business Entity Principle)
- Money Measurement Principle
- Accounting Period Principle (Periodicity Principle)
- Full Disclosure Principle
- Materiality Principle
- Prudence Principle (or Conservatism Principle)
- Historical Cost Principle
- Matching Principle
- Duality Principle
- Double Entry System of Book-keeping

1.0 FUNDAMENTAL ACCOUNTING ASSUMPTIONS

As per Accounting Standard (AS-1) 'Disclosure of Accounting Policies' issued by Institute of Chartered Accountants of India (ICAI), there are three Fundamental Accounting Assumptions:

1. Going Concern	2. Consistency	3. Accrual

Disclosure Requirements

1. If all the Fundamental Accounting Assumptions are followed in financial statements, specific disclosure is not required.
2. If any fundamental accounting assumption is not followed, the fact should be disclosed.

2.0 GOING CONCERN ASSUMPTION

Meaning of Going Concern Assumption

1. The enterprise is normally viewed as a going concern, i.e. as continuing operations for the foreseeable future.
2. It is assumed that the enterprise has *neither* the intention *nor* the necessity of liquidation or curtailing materially its scale of operations.
3. If an enterprise is not a going concern, valuation of its assets and liabilities on historical cost becomes irrelevant and as a consequence its profit/loss may not give reliable information.

Implications of Going Concern Assumption

It is because of the Going Concern Assumption:

1. that the assets are classified as Current Assets and Fixed Assets.
2. that the liabilities are classified as Short-term Liabilities and Long-term liabilities.
3. that the unused resources are shown as unutilised costs (or unexpired costs) as against the break-up values as in case of liquidating enterprise. Accordingly, the earning power and not the break-up value evaluates the continuing enterprise.

Disclosure of Going Concern Assumption

According to Accounting Standard (1) issued by the Institute of Chartered Accountants of India, if this fundamental assumption is followed, this fact need not be disclosed in the financial statements since its acceptance and use are assumed. In case this concept is not followed, the fact should be disclosed in the financial statement together with reasons.

3.0 CONSISTENCY ASSUMPTION

Meaning of Consistency Assumption

1. It is assumed that accounting policies are consistent from one period to another.
2. This adds the virtue of comparability to accounting data.
3. If comparability is lost, the relevance of accounting data for users' judgement and decision making is gone.
4. According to Consistency Assumption, whatever accounting practices (whether logical or not) are selected for a given category of transactions, they should be followed on a horizontal basis from one accounting period to another to achieve compatability.

Need for Consistency Assumption

The consistency principle is applied when alternative methods of accounting are equally acceptable.

Examples of Consistency Assumption

1. If the inventory is valued on LIFO basis, this basis should be followed year after year.
2. If a particular asset is depreciated according to WDV method, this method should be followed year after year.

Effect of not Observing Consistency

If Consistency Assumption is not followed, the intra-firm comparison (i.e., comparison of actual figures of one period with those of another period for the same firm), Inter-firm comparison (i.e. comparison of actual figures of one firm with those of another firm belonging to the same industry) and Pattern comparison (i.e., comparison of actual figures of one firm with those of industry to which the firm belongs) cannot be made.

Consistency Differs from Unifomity

The consistency should not be confused with mere uniformity *or* inflexibility and should not be allowed to become an impediment to the introduction of improved accounting standards. It is not appropriate for an enterprise to leave its accounting policies unchanged when more relevant and reliable alternatives exist.

4.0 ACCRUAL ASSUMPTION

Meaning of Accrual Assumption

1. Revenues and Costs are accrued, that is, recognised as they are earned or incurred (and not as money is received or paid) and recorded in the financial statements of the periods to which they relate.
2. This assumption is the core of accrual accounting system.
3. For companies it is mandatory to keep accounts on accrual basis under the Companies Act, 1956.

Meaning of Revenue

Revenue is the gross inflow of cash, receivables or other considerations arising in the course of ordinary activities of an enterprise from the sale of goods, rendering of services and use of enterprise resources by others yielding interests, royalties and dividends. It excludes the amount collected on behalf of third parties such as certain taxes. In an agency relationship, the revenue is the amount of commission and not the gross inflow of cash, receivables or other considerations.

5.0 ACCOUNTING PRINCIPLES

1. Basic Principles of Accounting are essentially, the general decision rules which govern the development of accounting techniques. These principles guide how transactions should be recorded and reported.
2. Generally Accepted Accounting Principles may be defined as those rules of action or conduct which are derived from experience and practice and when they prove useful, they become accepted as principles of accounting.
3. According to the American Institute of Certified Public Accountants (AICPA), the principles which have substantial authoritative support become the part of the Generally Accepted Accounting Principles (GAAP).

6.0 ACCOUNTING ENTITY (OR BUSINESS ENTITY PRINCIPLE)

Meaning of Accounting Entity Principle

According to Accounting Entity Principle, a business is treated as a separate entity that is distinct from its owner(s), and all other accounting entities and hence a distinction

should be made between (i) personal transactions and business transactions, and (ii) transactions of one business entity and those of another business entity. For example, in case of a proprietary concern, though the legal entity of the business and its proprietor is the same, for the purpose of accounting, they are to be treated as separate from each other.

Effect of Accounting Entity Principle

If this Principle is not followed, true financial position and true financial performance of a business entity cannot be ascertained. **For example,** if the household expenses (₹ 10,000) of a proprietor are shown as business expenses, the profits of a business will be understated to the extent of ₹ 10,000.

7.0 MONEY MEASUREMENT PRINCIPLE

Meaning of Money Measurement Principle

According to Money Measurement Principle, only those transactions which are capable of being expressed in terms of money are included in the accounting records.

What is not Recorded?

The information which cannot be expressed in terms of money is not included in accounting records. ***For example,*** if the Sales Director is not on speaking terms with the Production Director, the enterprise is bound to suffer. Since, monetary measurement of this information is not possible, this fact is not recorded in accounting records.

Advantage of Money Measurement Principle

By expressing all transactions in terms of money, the different transactions expressed in different units are brought to a common unit of measurement (i.e., Money).

Limitations of Money Measurement Principle

Besides ignoring the non-monetary facts or attributes, this assumption also ignores the changes in the purchasing power of the monetary unit. In other words, this **assumption treats all rupees alike,** whether it is a rupee of 1950 *or* 2013. Hence, nowadays, it is considered to provide additional data showing the effect of price level changes on the reported Income, Assets and Liabilities of the business.

8.0 ACCOUNTING PERIOD PRINCIPLE (PERIODICITY PRINCIPLE)

Meaning of Accounting Period Principle (Periodicity Principle)

It is also known as Periodicity Principle or Time Period Principle. According to this principle, the economic life of an enterprise is artificially split into periodic intervals which are known as accounting periods, at the end of which an Income Statement and Position Statement are prepared to ascertain the Financial Performance and position respectively.

Implication of Accounting Period Principle (Periodicity Principle)

The use of this assumption further requires the allocation of expenses between capital and revenue. That portion of capital expenditure which is consumed during the current period is

charged as an expense to Income Statement and the unconsumed portion is shown in the Balance Sheet as an asset for future consumption.

Estimate and Not Actual Income

Truly speaking, measuring the income following the concept of accounting period is more an estimate than factual since, actual income can be determined only on the liquidation of the enterprise.

Reporting Period

It may be noted that the custom of using twelve month period is applied only for external reporting. For internal reporting, accounts can be prepared even for shorter periods, *say* monthly, quarterly *or* half yearly.

9.0 FULL DISCLOSURE PRINCIPLE

Meaning of Full Disclosure Principle

1. According to Full Disclosure Principle, the Financial Statements should act as means of conveying and not concealing.
2. The financial statements must disclose all the relevant and reliable information which they purport to represent, so that the information may be useful for the users.
3. For this, it is necessary that the information is accounted for and presented in accordance with its substance and economic reality and not merely with its legal form.

Example of Full Disclosure Principle

The practice of appending Notes to the Financial Statements has developed as a result of the Full Disclosure Principle.

Quality of Full Disclosure Principle

The disclosure should be full, fair and adequate so that the users of the Financial Statements can make correct assessment about the financial performance and position of the enterprise.

10.0 MATERIALITY PRINCIPLE

Meaning of Materiality Principle

1. According to the Materiality Principle, all relatively relevant items, the knowledge of which might influence the decision of the users of the financial statements, should be disclosed in the financial statements.

2. Which information is more relevant than others is largely a matter of judgement. *For instance*, accounting and recording of a small calculator as an asset in the balance sheet may not be justified due to the excess of cost of recording over the benefits in terms of usefulness of recording and the accounting of calculators as assets.

What is Materiality?

1. The materiality depends not only upon the amount of item but also upon the size of business, level and nature of information, level of the person/department who makes the judgement about materiality, for instance a worker reporting to his foreman about the production in grams (e.g. part of kilogram), a foreman to his supervisor in kilograms, a supervisor to his production manager in quintals and the production manager to the top management in tonnes, may be justified with regard to the circumstances. It hardly makes any difference if the production manager reports to the top management that the production is 1,99,000.90 kilograms or simply 200 tonnes (nearly).
2. It is desirable to establish and follow uniform policies governing material or non-material items so that while measuring income for an accounting period, the non-material items can be ignored on uniform basis.

Exception to the Full Disclosure Principle

1. This Principle is basically an exception to the Full Disclosure Principle.
2. The full disclosure principle requires that all facts necessary to ensure that the financial statements are not misleading, must be disclosed, whereas the materiality principle requires that the items or events having an insignificant economic effect or not being relevant to the user's need not be disclosed.

11.0 PRUDENCE PRINCIPLE (OR CONSERVATISM PRINCIPLE)

Meaning of Prudence Principle

1. According to Prudence Principle, the principle of **'Anticipate no profit but provide for all probable losses'** should be applied.
2. In other words, the Prudence Principle requires that in the situation of uncertainty and doubt, the business transactions should be recorded in such a manner that the Profits and Assets are not overstated and the Losses and Liabilities are not understated.

Note: *Prudence Principle should be applied rationally only in circumstances in which great uncertainty and doubt exists as the over-conservatism may result in misrepresentation.*

Examples of Applications of Prudence Principle

1. Valuation of Stock-in-trade at a lower of Cost or Net Realisable Value.
2. Making the Provisions for Doubtful Debts and Discount on Debtors.

Conflicts with Consistency

When the Stock is valued at Cost in one accounting period and at a lower of Cost *or* Net Realisable Value in another accounting period, this Principle conflicts with the Principle of Consistency.

Conflicts with Full Disclosure

When excessive Provisions for Doubtful Debts and Depreciation are charged, it leads to the creation of Secret Reserves, and thus, this Principle conflicts with the Full Disclosure Principle.

Conflicts with Objectivity

1. The estimation of probable losses is a subjective judgment and thus, this principle conflicts with the Principle of Objectivity.
2. The practice of making provisions for doubtful debts and the like implies lesser charges in the following accounting periods.
3. It reduces the current income and raises the future income and thus it conflicts with the matching principle.

12.0 HISTORICAL COST PRINCIPLE

Meaning of Historical Cost Principle

According to Historical Cost Principle, an asset is ordinarily recorded in the accounting records at the price paid to acquire it at the time of its acquisition and the cost becomes the basis for the accounts during the period of acquisition and subsequent accounting periods.

Accordingly, if nothing is paid to acquire an asset; the same will not be usually recorded as an asset, e.g. a favourable location and increasing reputation of the concern will remain unrecorded though these are valuable assets.

Advantage of Historical Cost Principle

1. The justification for the use of the cost concept lies in the fact that it is objectively verifiable.
2. This does not mean that the asset will always be shown at cost.
3. The cost of an asset is systematically reduced from year to year by charging depreciation and the asset is shown in the Balance Sheet at Book Value (i.e. Cost *less* Depreciation).
4. It may be noted that the purpose of depreciation is to allocate the cost of an asset over its useful life and not to adjust its cost so as to bring it close to the market value.

13.0 MATCHING PRINCIPLE

Meaning of Matching Principle

1. According to Matching Principle, the expenses incurred in an accounting period should be matched with the revenues recognised in that period. It means that, if revenue is recognised on all goods sold during a period, cost of those goods sold should also be charged to that period. It is wrong to recognise revenue on all sales, but charge expenses only on such sales as are collected in cash till that period.

2. This concept is basically an accrual concept since, it disregards the timing and the amount of actual cash inflow *or* cash outflow and concentrates on the

occurrence (i.e. accrual) of revenue and expenses. This concept calls for adjustment to be made in respect of Prepaid Expenses, Outstanding Expenses, Accrued Revenue and Unaccrued Revenues.

3. Matching does not mean that expenses must be identifiable with revenues. Expenses charged to a period may or may not be related to the revenue recognised in that period, for example, cost of goods sold and commission to salesmen are directly related to sales whereas rent, interest, depreciation accruing with the passage of time and stock lost by fire are not directly related to sales revenue, yet they are charged to the accounting period to which they relate. Thus, appropriate costs have to be matched against the appropriate revenues for the accounting period.

14.0 DUALITY PRINCIPLE

Meaning of Duality Principle

1. Two fold aspect of a transaction is called dual aspect or duality of a transaction. This duality is the basis of double entry records.
2. As the name implies, the entry made for each transaction is composed of two parts—one for debit and another for credit.
3. The double entry system may be compared with the Newton's law of motion, viz, to every action there is always an equal and contrary reaction. Every debit has equal amount of credit. So the total of all debits must be equal to the total of all credits.

Examples of Duality Principle

EXAMPLE 1

Mr X sold Goods for Cash ₹ 1,000 to Mr Y. In this case the dual aspects of this transaction for Mr X and Mr Y are as follows:

Dual Aspects for Mr X	Dual Aspects for Mr Y
1. Receipt of Cash ₹ 1,000	1. Payment of Cash ₹ 1,000
2. Foregoing of Goods of ₹ 1,000	2. Receipt of Goods of ₹ 1,000

EXAMPLE 2

Mr X sold Goods for ₹ 1,000 to Mr Y on credit. In this case the dual aspects of this transaction for Mr X and Mr Y are as follows:

Dual Aspects for Mr X	Dual Aspects for Mr Y
1. Acquisition of Right to recover ₹ 1,000	1. Assumption of Obligation to pay ₹ 1,000
2. Foregoing of Goods of ₹ 1,000	2. Receipt of Goods of ₹ 1,000

15.0 DOUBLE ENTRY SYSTEM OF BOOK-KEEPING

Meaning of Double Entry System of Book-keeping

1. Double Entry System of Book-keeping refers to a system of accounting under which both the aspects (i.e., Debit *or* Credit) of every transaction are recorded in the accounts involved.
2. **Dual Aspect** — Two fold aspect of a transaction is called dual aspect or duality of a transaction. This duality is the basis of double entry records.
3. As the name implies, the entry made for each transaction is composed of two parts — one for debit and another for credit. The double entry system may be compared with the Newton's law of motion, viz to every action there is always an equal and contrary reaction.
4. Every debit has equal amount of credit. So the total of all debits must be equal to the total of all credits.
5. The terms debit and credit used today have their origin from the terms — *Debito* and *Credito* as used by *Luca fra Pacioli* in his book.
6. **Account** — The individual record of a person or thing or an item of incomeor an expense is called an account.

Advantages of Double Entry System

1. It facilitates the accuracy of ledger accounts through the device of trial balance.
2. It facilitates the ascertainment of Financial Performance.
3. It facilitates the ascertainment of Financial Position.
4. It facilitates the comparability of Financial Statements.

THEORETICAL QUESTIONS

1. Name the Accounting Standard which states the Fundamental Accounting Assumptions.
2. State the Fundamental Accounting Assumptions.
3. What is Going Concern Assumption?
4. What is Consistency Assumption?
5. What is Accrual Assumption?
6. What is meant by Accounting Principles?
7. What is meant by Generally Accepted Accounting Principles (GAAP)?
8. What is the Accounting Entity Principle?
9. What is the Money Measurement Principle?
10. What is Accounting Period Principle?
11. Name the exception to Consistency Principle.
12. What is Prudence Principle (or Conservatism Principle)?
13. State any two applications of Prudence Principle.
14. What is the Full Disclosure Principle? State any one application of this principle.
15. Name the exception to Full Disclosure Principle.
16. What is the Materiality Principle?

17. What is the Cost Principle?

18. What is the Matching Principle?

19. What is the Duality Principle?

20. Name the Accounting Principle applied in Classification of assets as Current Assets and Fixed Assets.

21. Name the Accounting Principle applied in Appending Notes to the Financial Statements.

22. Name the Accounting Principle applied in Accounting of a small calculator as an expense and not as an asset.

23. Name the Accounting Principle applied in following the WDV Method of depreciating a particular asset year after year.

24. Name the Accounting Principle applied in Valuation of Stock at lower of Cost or Net Realisable Value.

25. Name the Accounting Principle applied in Making Provision for Doubtful Debts.

26. Personal transactions are distinguished from business transactions in accordance with which Accounting Principle?

27. The economic life of an enterprise is artificially split into periodic intervals in accordance with which Accounting Principle?

28. The Financial Statements must disclose all the relevant and the reliable information in accordance with which Accounting Principle?

29. Accounting Practices should be followed on a horizontal basis from one accounting period to another period in accordance with which Accounting Principle?

30. When Stock is valued at cost in one accounting period and at lower of Net Realisable Value in another accounting period, which Accounting Principle conflicts with which Accounting Principle?

31. State whether Revenues are matched with expenses or Expenses are matched with Revenues in accordance with the Matching Principle.

32. Name the Accounting Principle which ignores the non-monetary facts or attributes.

33. Name the Accounting Principle which treats all rupees alike, whether it is a rupee of 1950 or 2013.

5 Accounting Standards

LEARNING OBJECTIVES

After studying this chapter, you should be able to understand:

- Meaning of Accounting Standard
- Objective of Accounting Standard
- Significance of Accounting Standards
- Advantages of Setting Accounting Standards
- Arguments against setting Accounting Standards
- Development of Accounting Standards
- Accounting Standards Board of India [ASB]
- International Financial Reporting Standards (IFRS)
- Historical Background of Ifrs
- International Accounting Standard Board [IASB]
- Steps Taken By Iasb For Global Convergence
- Arguments In Favour of Ifrs
- Arguments Against Ifrs
- Suggestion For More Effective Adoption of Ifrs

1.0 MEANING OF ACCOUNTING STANDARD

An accounting standard is a selected set of accounting policies *or* broad guidelines regarding the principles and methods to be chosen out of several alternatives. Standards conform to applicable laws, customs, usage and business environment. So there is no universally acceptable set of standards.

2.0 OBJECTIVE OF ACCOUNTING STANDARD

The main objective of accounting standards is to harmonise the diverse accounting policies and practices at present in use in India. However, harmonisation does not mean that accounting standards should become very rigid. In fact, harmonisation of accounting standards do permit flexibility to make the necessary adjustments to suit their purpose.

3.0 SIGNIFICANCE OF ACCOUNTING STANDARDS

1. The adoption and application of accounting standards **ensures uniformity, comparability and qualitative improvement in the preparation and presentation of financial statements.**
2. The accounting standards seek to describe the accounting principles, the valuation techniques and the methods of applying the accounting principles in the preparation and presentation of financial statements so that they may give a true and fair view.
3. The ostensible purpose of the standard setting bodies is to promote the dissemination of timely and useful financial information to investors and certain other parties having an interest in companies' economic performance.

4.0 ADVANTAGES OF SETTING ACCOUNTING STANDARDS

1. Reduction in Variations	Standards reduce to a reasonable extent or eliminate altogether confusing variations in the accounting treatments used to prepare financial statements.
2. Disclosure Beyond that Required by Law	There are certain areas where important information is not statutorily required to be disclosed. Standards may call for disclosure beyond that required by law.
3. Facilitates Comparison	The application of accounting standards would, to a limited extent, facilitate comparison of financial statements of companies situated in different parts of the world and also of different companies situated in the same country. However, it should be noted in this respect that differences in the institutions, traditions and legal systems from one country to another give rise to differences in accounting standards practised in different countries.

5.0 ARGUMENTS AGAINST SETTING ACCOUNTING STANDARDS

1. Restriction on Choice of Alternative Treatments	Alternative solutions to certain accounting problems may each have arguments to recommend them. A standard which insists on one particular solution may be unduly restrictive. This can sometimes be avoided either by allowing a permitted choice between different accounting treatments, or by defining closely the circumstances where different treatments may be appropriate.
2. Rigidity	There may be a trend towards rigidity in applying the accounting standards. Michael Alexander, Director of Research and Technical Activities at the Financial Accounting Standards Board (FASB) said, 'the demand for standards comes largely from an insatiable appetite for rules. The reliance on judgment in technical accounting matters seems to have gone'.
3. Cannot Override the Statute	Accounting standards cannot override the statute. The standards are required to be framed within the ambit of prevailing statutes.

6.0 DEVELOPMENT OF ACCOUNTING STANDARDS

1. Prior to the 1970s, few academics paid much attention to the standard-setting process in accounting. Beginning in the 1970s, however, it became clear that standard setting was a fascinating process that had become intertwined with the economic self-interests of affected parties. Currently, standard-setting boards or committees are active in a number of countries, including the United States, United Kingdom, Australia, Canada, New Zealand, the Netherlands, Japan and India.
2. **At International level —** In 1972 International Accounting Standards Committee (IASC), was formed for developing International Accounting Standards (IASs). The IASC comprises the professional accountancy bodies of over 75 countries (including The Institute of Chartered Accountants of India). During these three decades the IASC has issued 40 IASs through a due process involving the worldwide accountancy profession, the preparers and users of financial statements and the national standard-setting bodies. However the IASs are not accepted worldwide.
3. In 1978, another professional body, the International Federation of Accountants (IFAC) was established.

7.0 ACCOUNTING STANDARDS BOARD OF INDIA [ASB]

1. **Formation of the Accounting Standards Board —** The Institute of Chartered Accountants of India, recognising the need to harmonise the diverse accounting policies and practices at present in use in India, constituted an Accounting Standards Board (ASB) on April 21, 1977.
2. **Scope and Function of Accounting Standards Board**
   (a) The main function of ASB is to formulate accounting standards so that such standards may be established by the Council of the Institute in India.
   (b) While formulating the accounting standards, ASB will take into consideration the applicable law, customs, usages and business environment.
   (c) The Institute is one of the members of the International Accounting Standards Committee (IASC) and has agreed to support the objectives of IASC.
   (d) While formulating the accounting standards, ASB will give due consideration to International Accounting Standards issued by IASC and try to integrate them, to the extent possible, in the light of the conditions and practices prevailing in India.
   (e) The accounting standards will be issued under the authority of the Council. ASB has also been entrusted with the responsibility of propagating the accounting standards and of persuading the concerned parties to adopt them in the preparation and presentation of financial statements.
   (f) ASB will issue guidance notes on the accounting standards and give clarifications on issues arising therefrom.
   (g) ASB will also review the accounting standards at periodical intervals.

3. Procedure for Issuing Accounting Standards

Broadly, the following procedure will be adopted for formulating Accounting Standards:

Step 1 → Dedetermine the broad areas in which accounting standards need to be formulated and the priority in regard to the selection thereof.

Step 2 → To hold a dialogue with the representatives of the government, public sector undertakings, industry and other organizations for ascertaining their views.

Step 3 → On the basis of the work of the study groups and the dialogue with the representatives, to prepare and issue the exposure of draft of the proposed standard for comments by members of the Institute and the public at large.

Step 4 → To finalise the draft of the proposed standard after taking into consideration the comments received.

Step 5 → To submit the final draft of the proposed standard to the Council of the Institute.

The Council of the Institute will consider the final draft of the proposed standard, and if found necessary, modify the same in consultation with ASB. The accounting standard on the relevant subject will then be issued under the authority of the Council.

4. Accounting Standards issued so far

(a) In India, The Council of the Institute of Chartered Accountants of India has so far issued 32 Accounting Standards but effectively there are 31 as at present since AS-8 has been withdrawn consequent to the issuance of AS 26 on 'Intangible Assets'.

(b) Some of these standards are mandatory.

(c) These accounting standards are mandatory in the sense that these are binding on the members of the Institute.

(d) These standards are as follows:

S. No.	*Title*	*Recommendatory or Mandatory*	*Mandatory from accounting period beginning on or after*
AS - 1	Disclosure of Accounting Policies	Mandatory	1.4.93
AS - 2	Valuation of Inventories (Revised)	Mandatory	1.4.99
AS - 3	Cash Flow Statement (Revised)	Mandatory	1.4.2001
AS - 4	Contingencies and Events Occurring After the Balance Sheet Date (Revised)	Mandatory	1.4.95
AS - 5	Net Profit or Loss for the period, Prior Period and Extra-ordinary items and Changes in Accounting Policies (Revised)	Mandatory	1.1.96

AS - 6	Depreciation Accounting (Revised)	Mandatory	1.4.95
AS - 7	Accounting for Construction Contracts (Revised)	Mandatory	1.4.03
AS - 8	Accounting for Research and Development	Withdrawn and included in AS-26	
AS - 9	Revenue Recognition	Mandatory	1.4.93
AS - 10	Accounting for Fixed Assets	Mandatory	1.4.93
AS - 11	Accounting for the Effects of Foreign Changes in Exchange Rates (Revised)	Mandatory	1.4.04
AS - 12	Accounting for Government Grants	Mandatory	1.4.94
AS - 13	Accounting for Investments	Mandatory	1.4.95
AS - 14	Accounting for Amalgamations	Mandatory	1.4.95
AS - 15	Accounting for Retirement Benefits in the Financial Statements of Employers	Mandatory	1.4.95
AS - 16	Borrowing Costs	Mandatory	1.4.2000
AS - 17	Segment Reporting	Mandatory	1.4.2001
AS - 18	Related Parties Disclosures	Mandatory	1.4.2001
AS - 19	Leases	Mandatory	1.4.2001
AS - 20	Earning Per Share	Mandatory	1.4.2001
AS - 21	Consolidated Financial Statements	Mandatory	1.4.2001
AS - 22	Accounting for Taxes on Income	Mandatory	1.4.2001
AS - 23	Accounting for Investments in Associates in Consolidated Financial Statements	Mandatory	1.4.2002
AS - 24	Discontinuing Operations	Mandatory	1.4.2004
AS - 25	Interim Financial Reporting	Mandatory	1.4.2002
AS - 26	Intangible Assets	Mandatory	1.4.2003
AS - 27	Financial Reporting of Interests in Joint Venture	Mandatory	1.4.2004
AS - 28	Impairment of Assets	Mandatory	1.4.2004
AS - 29	Provision, Contingent Liabilities and Contingent Assets	Mandatory	1.4.2004
AS - 30	Financial Instrument: Recognition & Measurement	Recommendation 1.4.2009 to 31.3.2011	1.4.2011
AS - 31	Financial Instrument: Presentation	Recommendation 1.4.2009 to 31.3.2011	1.4.2011
AS - 32	Financial Instrument: Disclosure	Recommendation 1.4.2009 to 31.3.2011	1.4.2011

5. Compliance with Accounting Standards

(a) During the period an accounting standard is recommendatory in nature, the members of the Institute should, while discharging their attest function, examine whether the standard has been followed or not. If the same has not been

followed, the members should consider whether, keeping in view the circumstances of the case, a disclosure in their audit reports is necessary.

(b) Once the standard becomes mandatory, it will be the duty of the members of the Institute to examine, while discharging their attest function, whether this accounting standard is complied with in the presentation of financial statements covered by their audit. In the event of any deviation from the accounting standard, it will be their duty to make adequate disclosures in their audit reports so that the users of financial statements may be aware of such deviations.

8.0 INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRS)

Why there is need of harmonisation?

Harmonisation implies having conformity in accounting and reporting practices. Variations should be minimised. It should be at minimum level.

When originally accounting evolved, there is greater variation in accounting principles and practices.

Many bodies like FASB, OECD took many steps to reduce these variations.

Now many countries try to achieve harmonisation but since all of the countries were following their own accounting standards so harmonisation was never achieved. Hence harmonisation was retaliated again and again but never achieved.

What is Convergence?

Convergence implies that all standards setter around the world should agree on a single, high quality accounting standard.

Convergence can be achieved in two ways:

(i) Either adopting International Financial Reporting Standards (IFRS) *or*

(ii) Adopt IFRS to formulate the country's own accounting standards.

9.0 HISTORICAL BACKGROUND OF IFRS

International Accounting Standard Committee (IASC)

Few years back in 1973, a body was established i.e., International Accounting Standard Committee (IASC) to push up harmonisation. It composed of members of the developed nations. Its main objectives were:

1. To formulate and publish in the public interest accounting standards to be observed in the presentation of the financial statements and to promote their worldwide acceptance and observance.
2. To work generally for the improvement and harmonisation of the accounting standard.

International Financial Reporting Standard Foundation

However, nothing happened from 1973 – 2000. As a consequence IASC itself approved constitutional changes necessary for its own restructuring.

A new IFRS foundation was incorporated and its trustees were appointed.

The IFRS Foundation is an independent, not-for-profit private sector organisation working in the public interest. Its principal objectives are:

1. to develop a single set of high quality, understandable, enforceable and globally accepted international financial reporting standards (IFRSs) through its standard-setting body, the IASB;
2. to promote the use and rigorous application of those standards;
3. to take account of the financial reporting needs of emerging economies and small and medium-sized entities (SMEs); and
4. to bring about convergence of national accounting standards and IFRSs to high quality solutions.

The governance and oversight of the activities undertaken by the IFRS Foundation and its standard-setting body rests with its Trustees, who are also responsible for safeguarding the independence of the IASB and ensuring the financing of the organisation. The Trustees are publicly accountable to a Monitoring Board of public authorities.

10.0 INTERNATIONAL ACCOUNTING STANDARD BOARD (IASB)

What is IASB?

The IASB is the independent standard-setting body of the IFRS Foundation. Its members are responsible for the development and publication of IFRSs, including the IFRS for SMEs and for approving Interpretations of IFRSs as developed by the IFRS Interpretations Committee (formerly called the IFRIC). All meetings of the IASB are held in public and webcast. In fulfilling its standard-setting duties the IASB follows a thorough, open and transparent due process of which the publication of consultative documents, such as discussion papers and exposure drafts, for public comment is an important component. The IASB engages closely with stakeholders around the world, including investors, analysts, regulators, business leaders, accounting standard-setters and the accountancy profession.

Formulation of IASB is necessary since:

1. There is recognized and growing need for common international accounting standard.
2. No individual setter has a monopoly over a best solution to accounting problem.
3. No national standard setter is in position to set accounting standard that can gain acceptance around the world.

What are the objectives of IASB?

1. To develop in the public interest, a single set of high quality, understandable and enforceable accounting standard that requires high quality, transparent and comparable financial information.
2. To promote the use and rigorous application of these accounting standard.
3. To bring about convergence.

The methodology is that board will formulate their own accounting standards and the countries would follow it.

11.0 STEPS TAKEN BY IASB FOR GLOBAL CONVERGENCE

1. **Issued a Conceptual Framework:** It had adopted the framework issued by IASC in 1989. This framework serves as guide to IASB for developing Accounting Standard.

2. **Issue of IAS:** Till now IASC had issued 41 International Accounting Standards.
   - **IAS 1** — Presentation of Financial Statements
   - **IAS 2** — Inventories
   - **IAS 7** — Statement of Cash Flows
   - **IAS 8** — Accounting Policies, Changes in Accounting Estimates and Errors
   - **IAS 10** — Events After the Balance Sheet Date
   - **IAS 11** — Construction Contracts
   - **IAS 12** — Income Taxes
   - **IAS 16** — Property, Plant and Equipment
   - **IAS 17** — Leases
   - **IAS 18** — Revenue
   - **IAS 19** — Employee Benefits
   - **IAS 20** — Accounting for Government Grants and Disclosure of Government Assistance
   - **IAS 21** — The Effects of Changes in Foreign Exchange Rates
   - **IAS 23** — Borrowing Costs
   - **IAS 24** — Related Party Disclosures
   - **IAS 26** — Accounting and Reporting by Retirement Benefit Plans
   - **IAS 27** — Consolidated and Separate Financial Statements
   - **IAS 28** — Investments in Associates
   - **IAS 29** — Financial Reporting in Hyperinflationary Economies
   - **IAS 31** — Interests in Joint Ventures
   - **IAS 32** — Financial Instruments: Presentation
   - **IAS 33** — Earnings per Share
   - **IAS 34** — Interim Financial Reporting
   - **IAS 36** — Impairment of Assets
   - **IAS 37** — Provisions, Contingent Liabilities and Contingent Assets
   - **IAS 38** — Intangible Assets
   - **IAS 39** — Financial Instruments: Recognition and Measurement
   - **IAS 40** — Investment Property
   - **IAS 41** — Agriculture
3. **Issue of International Financial Reporting Standards (IFRS):** Till now IASB has issued 9 IFRS. The difference between IFRS and IAS is that IAS was issued by IASC up to year 2000. Thereafter standards are issued by IASB by the name of IFRS. However IASB adopted all IAS issued previously by IASC and which will remain there till replaced or covered by new IFRS. Till now 9 IFRS has been issued. These are as follows:
   - **IFRS 1** — First-time Adoption of International Financial Reporting Standards
   - **IFRS 2** — Share-based Payment
   - **IFRS 3** — Business Combinations

- **IFRS 4** — Insurance Contracts
- **IFRS 4** — Non-current Assets Held for Sale and Discontinued Operations
- **IFRS 6** — Exploration for and evaluation of Mineral Resources
- **IFRS 7** — Financial Instruments: Disclosures
- **IFRS 8** — Operating Segments
- **IFRS 9** — Financial instruments

4. **Setting up the IFRS Interpretations Committee:** The IFRS Interpretations Committee (formerly called the IFRIC) is the interpretative body of the IASB. The role of this committee is to review on timely basis within the context of IAS, IFRS and Framework, accounting issues that are debatable and issue clarification on that.
5. **Working closely with Intergovernmental organisations** such as OECD, EU, ISAR, etc. so as to enforce member bodies to converge with the standards.
6. **Acceptance of IFRS by the International Organization of Securities Commissions (IOSCO):** IOSCO is an association of organisations that regulate the world's securities and futures markets. Members are typically the Securities Commission or the main financial regulator from each country. IOSCO has members from over 100 different countries, who regulate more than 90 per cent of the world's securities markets. The organisations role is to assist its members to promote high standards of regulation and act as a forum for national regulators to cooperate with each other and other international organisations. Therefore the acceptance of IFRS by IOSCO is major landmark since IOSCO can enforce its member to converge with such IFRS.
7. **First time adoption of IFRS (i.e. IFRS 1):** It prescribes the accounting and disclosures required by the first time adopters of IFRS.
8. Issued a draft of Memorandum of Understanding (MOU) on the role of National Accounting Standard Setter and IASB. This document is intended to set out the shared vision. Through this 'MOU' it has become important for National Accounting Standard Setters to converge with IFRS. The draft 'MOU' lays out the large number of responsibilities on national accounting standard setters.
9. Convergence with US GAAP.

12.0 ARGUMENTS IN FAVOUR OF IFRS

1. **Growth in International Business:** As international business and investment multiplies, accounting international dimension broadens and it becomes more important as the tool of communication among businessman, entrepreneurs, financiers and investors. If accounting wants to serve as universal means of communication then there must be uniformity in accounting practices and that can be achieved through IFRS.
2. **Globalisation of Capital Markets:** Today companies are going globally to acquire the funds. Like companies acquiring funds through ADRs, GDRs, etc. Now if there is accounting difference then the investor could not analyse the accounts of other countries. So IFRS helps in reducing these accounting differences.
3. **Investors:** Nowadays investors want to invest outside their country. Investors include both type of investors' i.e. transnational company investing directly into other country or individual investors. Now if accounts are comparable then they can make sound decision. If accounts are different then they cannot make sound decision. Now if

there is no harmonisation then it is difficult to assess the relative merit of investment opportunities.

4. **Multinational Companies:** A major force in the movement towards adoption of IFRS has been the economic self interest of multinational companies. With diversity in Accounting Standards from country to country, these firm faces lot of accounting requirements from the countries in which they operate. Now due to adoption of IFRS there would be fewer burdens on their financial reporting structure. Due to IFRS they can easily consolidate their subsidiaries and as they are taking funds from many countries so investors across different countries can understand their financial statements.
5. **International Auditing Firms:** Another major force in the movement towards IFRS was the economic self interest of international auditing firms like PWC, Deloitte, KPMG, Ernst & Young, etc., so they can sell their service as expert in different countries.
6. **Developing Countries:** Countries that do not have any domestic Accounting Standards would benefit from international standards since it will enable them to adopt readymade system.
7. **Other interest Group:** Such as tax authorities or government will find it easier to tax foreign concern if their accounts are prepared by following IFRS.

13.0 ARGUMENTS AGAINST IFRS

Difficulties In Formulation of IFRS

1. **Nationalism:** Many countries believe that their views are superior to those of others. Due to this behaviour there is great difficulty in achieving a common solution.
2. **Difference in Economic and Social Environment:** Standard setting on international level is adversely affected by the difference in economic and social environment in which accounting has the role to play. In some countries information need of government may dominate accounting structure and in some countries need of investor may dominate accounting structure.
3. **Diverse Accounting Practices:** There is wide divergence in worldwide accounting practices. Each practice has its own justification. But this creates difficulty in arriving at commonality.
4. **Gaps between Developed and Developing Countries:** In many areas, developing countries differ from those of developed. In fact most developing countries have little chance to evolve accounting systems which truly reflect the needs and circumstances of their countries. Now copying the model of developed countries will not fill their needs.

Difficulties In Enforcement of IFRS

1. Difference in Tax Laws of Nations.
2. Difference in Corporate Laws.

3. Disclosure requirements under any other statute.
4. Existence of Local Standards.
5. Competition among International Standard setting agencies like OECD.
6. Unethical conduct by Corporate houses like Satyam, Enron, etc.

14.0 SUGGESTION FOR MORE EFFECTIVE ADOPTION OF IFRS

1. Enlarge representation on IASB.
2. Avoid political pressure.
3. IASB should publicise its standard world widely and try to get support of accounting profession, member countries and corporate all over the world and investors all over the world.
4. Every country should pass legislation to enforce IFRS.
5. UN should recognise IASB as the body qualified to set up international standard give it authority to force universal acceptance of IFRS.
6. In each country, securities exchange should take an appropriate action that company registering with them is required to comply with IFRS.
7. Continuous research is needed.

THEORETICAL QUESTIONS

1. What is Accounting Standard?
2. What is main objective of Accounting Standards?
3. State any two advantages of Setting Accounting Standards.
4. State any two arguments against setting Accounting Standards.
5. Who sets Accounting Standards in India?
6. How many Accounting Standards have been issued so far?
7. How many Accounting Standards are in force at present ?
8. Are all Accounting Standards are mandatory?

6 Accounting Equation

LEARNING OBJECTIVES

After studying this chapter, you should be able to understand:

- Meaning of Accounting Equation
- Effect of Transaction on Assets, Liabilities and Capital
- Analysis of Transactions using Accounting Equation

1.0 MEANING OF ACCOUNTING EQUATION

1. An accounting equation is a statement of equality between the resources and the sources which finance the resources and is expressed as follows:

Resources = Sources of Finances

2. **Resources mean the Assets**. The Assets refer to the tangible objects (e.g. Land & Building, Plant & Machinery, Furniture, Investments, Stock, Debtors, Bank Balance, Cash Balance) or intangible rights (e.g., Patents, Trademark, Copyright) owned by an enterprise and carrying probable future benefits.
3. **Sources of finance mean Equities** and includes (Internal Equity) (i.e., Capital) and External Equity (*i.e., Liabilities*).
4. Capital refers to the amount invested in an enterprise by its owners.
5. Liabilities are the financial obligations of an enterprise other than owners' funds.
6. Thus, the aforesaid accounting equation may be expressed as follows:

Total Assets = Total Equities

or

Assets = Internal Equity + External Equity

or

Assets = Capital + Liabilities

7. Since the liability holders have a definite and prior claim against the assets, the capital is also called a residual of assets over liabilities and may be expressed as follows:

Capital = Assets – Liabilities

8. This equation is fundamental in the sense that it gives foundation to the double entry book keeping. This equation holds good for all transactions and events and at all periods of time since every transaction and event has two aspects.

2.0 EFFECT OF TRANSACTION ON ASSETS, LIABILITIES AND CAPITAL

Transaction	*Efffect on*		
	Assets	*Liabilities*	*Capital*
1. Capital brought in Cash/Kind	Increase	—	Increase
2. Loan taken	Increase in Cash	Increase in Lenders	—
3. Purchased Fixed Asset/Goods for Cash	Increase in Fixed Asset /Goods & Decrease in Cash	—	—
4. Purchased Fixed Asset/Goods on Credit	Increase	Increase in Creditors	—
5. Sold Goods for Cash at Profit	Increase in Cash & Decrease in Goods	—	Increase due to Profit
6. Sold Goods on Credit at Profit	Increase in Debtors & Decrease in Goods	—	Increase due to Profit
7. Return of Goods by a Customer	Decrease in Debtors & Increase in Goods	—	Decrease due to Decrease in Profit
8. Return of Goods to a Supplier	Decrease in Goods	Decrease in Creditors	—
9. Payments received from a Customer to whom Cash Discount was allowed	Decrease in Debtors & Increase in Cash	—	Decrease due to Discount Allowed

10. Payment made to a Supplier allowed who Cash Discount	Increase in Cash	Decrease in Creditors	Increase due to Cash Discount received
11. Payment of Expenses like Salary	Decrease in Cash	—	Decrease due to Expenses
12. Expenses Due but not paid	—	Increase in Creditors	Decrease due to Expenses
13. Receipt of an Income	Increase in Cash	—	Increase due to Income
14. Income due but not received	Increase in Accrued Income	—	Increase due to Income
15. Income received in advance	Increase in Cash	Increase	
16. Depreciation of Fixed Assets	Decrease in Fixed Assets	—	Decrease due to Expenses
17. Cash/Goods withdrawn for Personal use	Decrease in Cash/ Goods	—	Decrease due to Drawings
18. Goods destroyed by Fire	Decrease in Goods	—	Decrease due to Loss
19. Bad Debts on Insolvency of a Debtor	Decrease in Debtors	—	Decrease due to Loss
20. Repayment of Loan	Decrease in Cash	Decrease in Lenders	

TUTORIAL NOTES

1. *Capital is increased by capital brought in and Profit & Income.*
2. *Capital is decreased by Cash/Goods withdrawn for personal use and Loss & Expenses.*

ILLUSTRATION 1

Prove that the accounting equation is satisfied in all the following transactions of Earth:

(a) Commenced business with Cash ₹ 60,000.
(b) Paid rent in advance ₹ 500.
(c) Purchased goods for Cash ₹ 30,000 and credit ₹ 20,000.
(d) Sold goods for Cash ₹ 30,000 costing ₹ 20,000.
(e) Paid salary ₹ 500 and Salary Outstanding ₹ 100.
(f) Bought motorcycle for personal use ₹ 5,000.

SOLUTION

ACCOUNTING EQUATION: ASSETS = LIABILITIES + CAPITAL

S. No.	*Transactions*	*Assets* ₹	=	*Liabilities* ₹	+	*Capital* ₹
(a)	Commenced business with Cash ₹ 60,000	60,000	=	0	+	60,000
(b)	Rent paid in advance ₹ 500	(–)500				
		(+)500	=	0	+	0
	New Equation	60,000	=	0	+	60,000
(c)	Purchased Goods for Cash ₹ 30,000 and credit ₹ 20,000	(+)50,000	=	(+)20,000	+	0
		(–) 30,000				
	New Equation	80,000	=	20,000	+	60,000
(d)	Sold Goods for Cash ₹ 30,000 costing ₹ 20,000	(+)30,000	=	0	+	10,000
		(–)20,000				
	New Equation	90,000	=	20,000	+	70,000
(e)	Paid Salary ₹ 500 and Salary outstanding ₹ 100	(–) 500	=	+	+	(–)500
		0	=	+100	+	(–)100
	New Equation	89,500	=	20,100	+	(+)69,400
(f)	Bought Motorcycle for Personal use ₹ 5,000	(–)5,000	=	0	+	(–)5,000
	New Equation	84,500	=	20,100	+	64,400

ILLUSTRATION 2

Mr Water had the following transactions:

(a) Commenced business with cash ₹ 50,000.
(b) Purchased goods for cash ₹ 20,000 and credit ₹ 30,000.
(c) Sold goods for cash ₹ 40,000, costing ₹ 30,000.
(d) Rent paid ₹ 500.
(e) Rent outstanding ₹ 100.
(f) Bought furniture ₹ 5,000 on credit.
(g) Bought refrigerator for personal use ₹ 5,000.
(h) Purchased building for cash ₹ 20,000.

Use accounting equation to show the effect of the above transactions on his assets, liabilities and capital and also show his balance sheet.

SOLUTION

ACCOUNTING EQUATION: ASSETS = LIABILITIES + CAPITAL

S. No.	*Transactions*	*Assets* ₹	=	*Liabilities* ₹	+	*Capital* ₹
(a)	Commenced business with cash ₹ 50,000	50,000	=	0	+	50,000
(b)	Purchased goods for cash ₹ 20,000 (+)50,000		=	30,000	+	0
	and credit ₹ 30,000 (–)20,000					
	New Equation	80,000	=	30,000	+	50,000
(c)	Sold goods for cash ₹ 40,000 (+)40,000					
	costing ₹ 30,000 (–)30,000		=	0	+	10,000
	New Equation	90,000	=	30,000	+	60,000
(d)	Rent paid ₹ 500	(–)500	=	0	+	(–)500
	New Equation	89,500	=	30,000	+	59,500
(e)	Rent outstanding for ₹ 100	0	=	(+)100	+	(–)100
	New Equation	89,500	=	30,100	+	59,400
(f)	Bought furniture for ₹ 5,000 on credit +5,000		=	(+)5,000	+	0
	New Equation	94,500	=	35,100	+	59,400
(g)	Bought refrigerator for personal use ₹ 5,000	(–)5,000	=	0	+	5,000
	New Equation	89,500	=	35,100	+	54,400
(h)	Purchased building for cash ₹ 20,000	(+)20,000 (–)20,000	=	0	+	0
	New Equation	89,500	=	35,100	+	54,400

BALANCE SHEET AS AT.....

Liabilities + Capital	₹	*Assets*	₹
Creditors	35,000	Cash in hand	44,500
Rent Outstanding	100	Stock	20,000
Capital	54,400	Furniture	5,000
		Building	20,000
	89,500		89,500

ILLUSTRATION 3

Fill in the blanks:

Case	*Total Assets* ₹	*Equities*		
		Internal ₹	*External* ₹	*Total* ₹
I	50,000	–	–	?
II	?	25,000	30,000	?
III	60,000	25,000	?	?
IV	70,000	?	25,000	?
V	?	?	35,000	50,000

SOLUTION

Case	*Total Assets*	*Equities*		
		Internal	*External*	*Total*
	₹	₹	₹	₹
I	50,000	–	–	50,000
II	55,000	25,000	30,000	55,000
III	60,000	25,000	35,000	60,000
IV	70,000	45,000	25,000	70,000
V	50,000	15,000	35,000	50,000

ILLUSTRATION 4

Fill in the blanks:

Case	*Capital as on 31.12.2012* ₹	*Capital as on 1.1.2012* ₹	*Profit-Loss during 2012* ₹	*Drawings during 2012* ₹	*Fresh Capital introduced during 2012* ₹
I	?	10,000	5,000	2,000	1,000
II	20,000	?	(1,000)	3,000	4,000
III	21,000	10,000	?	2,000	10,000
IV	10,000	20,000	5,000	?	1,000
V	15,000	30,000	(8,000)	7,000	?

SOLUTION

Case	*Capital as on 1.1.2012 (₹)* A	*Profit-Loss during 2012 (₹)* B	*Fresh Capital introduced during 2012 (₹)* C	*Drawings during 2012 (₹)* D	*Capital as on 31.12.2012 (₹)* E=A+B+C–D
I	10,000	5,000	1,000	2,000	14,000
II	20,000	(1,000)	4,000	3,000	20,000
III	10,000	3,000	10,000	2,000	21,000
IV	20,000	5,000	1,000	16,000	10,000
V	30,000	(8,000)	Nil	7,000	15,000

COMPREHENSIVE PROBLEM FOR REVISION

PROBLEM 1

Show the Accounting Equation on the basis of the following transactions and prepare the Balance Sheet at last.

(a) Shri Ganesh commenced business with Cash ₹ 35,000, Goods ₹ 8,000, Furniture ₹ 7,000.

(b) Bought furniture from M/s Mohan Furnitures on credit for ₹ 3,000.

(c) Purchased goods from Sohan for cash ₹ 35,000.

(d) Sold goods to Shyam for cash ₹ 40,000 (costing ₹ 30,000).

(e) Bought goods from Ramesh for ₹ 30,000.

(f) Sold goods to Shyam costing ₹ 30,000 for ₹ 50,000.

(g) Received ₹ 49,500 from Shyam in full settlement.

(h) Paid ₹ 29,700 to Ramesh in full settlement.

(i) Paid half the amount owed to M/s Mohan.

(j) Withdrew ₹ 1,000 for personal use.

(k) Withdrew goods for personal use (Cost ₹ 500, Sale Price ₹ 600).

(l) Purchased household goods for ₹ 15,000 giving ₹ 5,000 in cash and the balance through a loan.

(m) Paid cash ₹ 500 for loan and ₹ 300 for Interest.

(n) Goods destroyed by fire (Cost ₹ 500, Sale Price ₹ 600).

(o) Paid salary ₹ 500 and salary outstanding ₹ 100.

(p) Paid rent in advance ₹ 2,000.

(q) Accrued Interest ₹ 500.

(r) Commission received in advance ₹ 1,000.

(s) Charged depreciation of ₹ 400 on furniture.

SOLUTION

(See Solution on page 8.8).

BALANCE SHEET OF SHRI GANESH AS AT....

Liabilities + Capital	₹	*Assets*	₹
Creditor for furniture	1,500	Cash	50,000
Creditor for household goods	9,500	Stock	12,000
Outstanding salary	100	Prepaid Rent	2,000
Commission received in advance	1,000	Accrued Interest	500
Capital	62,000	Furniture	9,600
	74,100		74,100

Solution to Problem 1:

ACCOUNTING EQUATION: ASSETS = LIABILITIES + CAPITAL

Trans.	*Assets*										*Liabilities*						*Capital*
	Cash	+	*Stock*	+	*Debtors*	+	*Furniture*	+	*Prepaid Expenses*	+ *Accrued Incomes*	*Creditors*	+	*Lenders*	+	*Income Received in advance+ O/s Exp.*	+	*Capital*
(a)	35,000	+	8,000	+	0	+	7,000	+	0	+ 0	0	+	0	+	0 + 0	+	50,000
New Equation	35,000	+	8,000	+	0	+	7,000	+	0	+ 0	0	+	0	+	0 + 0	+	50,000
(b)	0	+	0	+	0	+	3,000	+	0	+ 0	3,000	+	0	+	0 + 0	+	0
New Equation	35,000	+	8,000	+	0	+	10,000	+	0	+ 0	3,000	+	0	+	0 + 0	+	50,000
(c)	–35,000	+	35,000	+	0	+	0	+	0	+ 0	0	+	0	+	0 + 0	+	0
New Equation	0	+	43,000	+	0	+	10,000	+	0	+ 0	3,000	+	0	+	0 + 0	+	50,000
(d)	40,000	–	30,000	+	0	+	0	+	0	+ 0	0	+	0	+	0 + 0	+	10,000
New Equation	40,000	+	13,000	+	0	+	10,000	+	0	+ 0	3,000	+	0	+	0 + 0	+	60,000
(e)	0	+	30,000	+	0	+	0	+	0	+ 0	30,000	+	0	+	0 + 0	+	0
New Equation	40,000	+	43,000	+	0	+	10,000	+	0	+ 0	33,000	+	0	+	0 + 0	+	60,000
(f)	0	–	30,000	+	50,000	+	0	+	0	+ 0	0	+	0	+	0 + 0	+	20,000
New Equation	40,000	+	13,000	+	50,000	+	10,000	+	0	+ 0	33,000	+	0	+	0 + 0	+	80,000
(g)	49,500	+	0	–	50,000	+	0	+	0	+ 0	0	+	0	+	0 + 0	–	500
New Equation	89,500	+	13,000	+	0	+	10,000	+	0	+ 0	33,000	+	0	+	0 + 0	+	79,500
(h)	–29,700	+	0	+	0	+	0	+	0	+ 0	–30,000	+	0	+	0 + 0	+	300
New Equation	59,800	+	13,000	+	0	+	10,000	+	0	+ 0	3,000	+	0	+	0 + 0	+	79,800
(i)	–1,500	+	0	+	0	+	0	+	0	+ 0	–1,500	+	0	+	0 + 0	+	0
New Equation	58,300	+	13,000	+	0	+	10,000	+	0	+ 0	1,500	+	0	+	0 + 0	+	79,800
(j)	–1,000	+	0	+	0	+	0	+	0	+ 0	0	+	0	+	0 + 0	–	1,000

Contd.....

Contd... Solution to Problem 1

Trans.	*Assets*										*Liabilities*					*+ Capital*
	Cash	+	*Stock*	+	*Debtors*	+	*Furniture*	+	*Prepaid Expenses*	+ *Accrued Incomes*	*Creditors*	+	*Lenders*	+	*Income Received in advance+ O/s Exp.*	+ *Capital*
New Equation	57,300	+	13,000	+	0	+	10,000	+	0	+ 0	1,500	+	0	+	0 + 0	+ 78,800
(k)	0	–	500	+	0	+	0	+	0	+ 0	0	+	0	+	0 + 0	– 500
New Equation	57,300	+	12,500	+	0	+	10,000	+	0	+ 0	1,500	+	0	+	0 + 0	+ 78,300
(l)	–5,000	+	0	+	0	+	0	+	0	+ 0	0	+	10,000	+	0 + 0	– 15,000
New Equation	52,300	+	12,500	+	0	+	10,000	+	0	+ 0	1,500	+	10,000	+	0 + 0	+ 63,300
(m)	–800	+	0	+	0	+	0	+	0	+ 0	0	–	500	+	0 + 0	– 300
New Equation	51,500	+	12,500	+	0	+	10,000	+	0	+ 0	1,500	+	9,500	+	0 + 0	+ 63,000
(n)	0	–	500	+	0	+	0	+	0	+ 0	0	+	0	+	0 + 0	– 500
New Equation	51,500	+	12,000	+	0	+	10,000	+	0	+ 0	1,500	+	9,500	+	0 + 0	+ 62,500
(o)	–500	+	0	+	0	+	0	+	0	+ 0	0	+	0	+	100	+ 600
New Equation	51,000	+	12,000	+	0	+	10,000	+	0	+ 0	1,500	+	9,500	+	100	+ 61,900
(p)	–2,000	+	0	+	0	+	0	+	2,000	+ 0	0	+	0	+	0	+ 0
New Equation	49,000	+	12,000	+	0	+	10,000	+	2,000	+ 0	1,500	+	9,500	+	100	+ 61,900
(q)	0	+	0	+	0	+	0	+	0	+ 500	0	+	0	+	0 + 0	+ 500
New Equation	49,000	+	12,000	+	0	+	10,000	+	2,000	+ 500	1,500	+	9,500	+	100	+ 62,400
(r)	1,000	+	0	+	0	+	0	+	0	+ 0	0	+	0	+	1,000	+ 0
New Equation	50,000	+	12,000	+	0	+	10,000	+	2,000	+ 500	1,500	+	9,500	+	1,000+100	+ 62,400
(s)	0	+	0	+	0	–	400	+	0	+ 0	0	+	0	+	0	– 400
New Equation	50,000	+	12,000	+	0	+	9,600	+	2,000	+ 500	1,500	+	9,500	+	1,000+100	+ 62,000

THEORETICAL QUESTIONS

1. What is Accounting Equation?
2. State whether Earnings increase or decrease Owner's Equity.
3. State whether Drawings increase or decrease Owner's Equity.
4. State whether Additional Capital increase or decrease Owner's Equity.
5. State whether Outstanding Expenses increase or decrease Owner's Equity.
6. State whether Prepaid Expenses increase or decrease Owner's Equity.
7. State whether Accrued Income increase or decrease Owner's Equity.
8. State whether Unaccrued Income increase or decrease Owner's Equity.
9. Can liabilities be zero?
10. Can Assets be zero?
11. Can Capital be zero?
12. Show the accounting equation if there are no Liabilities.
13. Give an equation for calculating Owner's Equity.
14. Give an equation for calculating External Equity.
15. Does Accounting Equation hold good under all circumstances?
16. How is an Accounting Equation fundamental ?
17. State a transaction in which there is increase in one liability and decrease in another.
18. State a transaction in which there is increase in one liability and decrease in Owner's Capital.
19. State a transaction in which there is a decrease in liability and increase in Owner's Capital.

PRACTICAL QUESTIONS

1. Prove that the accounting equation is satisfied in all the following transactions of Mahesh:
   (a) Commenced business with cash ₹ 36,000.
   (b) Paid rent in advance ₹ 300.
   (c) Purchased goods for cash ₹ 18,000 and credit ₹ 12,000.
   (d) Sold goods for cash ₹ 18,000, costing ₹ 12,000.
   (e) Paid salary ₹ 300 and salary outstanding ₹ 60.
   Bought motorcycle for personal use 3,000.

   [**Ans.** Assets ₹ 50,700 = Liabilities ₹ 12,060 + Capital ₹ 38,640]

2. Mr Sunil had the following transactions:
   (a) Commenced business with cash ₹ 30,000.
   (b) Purchased goods for cash ₹ 12,000 and credit ₹ 18,000.
   (c) Sold goods for cash ₹ 24,000, costing ₹ 18,000.
   (d) Rent paid ₹ 300.
   (e) Rent outstanding ₹ 60.
   (f) Bought furniture ₹ 3,000 on credit.

(g) Bought refrigerator for personal use ₹ 3,000.

(h) Purchased building for cash ₹ 12,000.

Use accounting equation to show the effect of the above transactions on his assets, liabilities and capital and also show his balance sheet.

[**Ans.** Assets ₹ 53,700 = Liabilities ₹ 21,060 + Capital ₹ 32,640]

3. Mr Devdas had the following transactions. Use accounting equation to show the effect on his assets, liabilities and capital:

(a) Invested ₹ 9,000 in cash.

(b) Purchased securities for ₹ 4,500 in cash.

(c) Purchased a home for staff for ₹ 9,000 giving ₹ 3,000 in cash and the balance through a loan.

(d) Sold securities costing ₹ 600 for 900.

(e) Purchased an old car for ₹ 1,680 in cash.

(f) Received cash as salary ₹ 2,160.

(g) Paid ₹ 300 for loan and ₹ 180 for interest.

(h) Paid Cash for household expenses ₹ 180.

(i) Received cash for dividend on securities ₹ 120.

[**Ans.** Assets ₹ 16,920 = Liabilities ₹ 5,700 + Capital ₹ 11,220]

4. Fill in the blanks:

Case	*Total Assets*	*Equities*		
		Internal	*External*	*Total*
	₹	₹	₹	₹
I	30,000	–	–	?
II	?	15,000	18,000	?
III	36,000	15,000	?	?
IV	42,000	?	15,000	?
V	?	?	21,000	30,000

[**Ans.** I. ₹ 30,000, II. ₹ 33,000, ₹ 33,000, III. ₹ 21,000, ₹ 36,000, IV. ₹ 27,000, ₹ 42,000, V. ₹ 30,000, ₹ 9,000]

5. Fill in the blanks:

Case	*Capital as on 31.12.2012* ₹	*Capital as on 1.1.2012* ₹	*Profit-Loss during 2012* ₹	*Drawings during 2012* ₹	*Fresh Capital Introduced during 2012* ₹
I	?	6,000	3,000	1,200	600
II	12,000	?	(600)	1,800	2,400
III	12,600	6,000	?	1,200	6,000
IV	6,000	12,000	3,000	?	600
V	9,000	18,000	(4,800)	4,200	?

[**Ans.** I. ₹ 8,400, II. ₹ 12,000, III. ₹ 1,800, IV. ₹ 9,600, V. Nil]

7 Journalising, Posting and Balancing

LEARNING OBJECTIVES

After studying this chapter, you should be able to understand:

- Meaning of an Account
- Traditional Classification of Accounts
- Accounting Equation Based Classification of Accounts
- Comparision of Traditional Classification and Accounting Equation Based Classification of Accounts
- Meaning and Rules of Debit and Credit
- Meaning and Format of Journal
- Ledger – Meaning, Form, Utility, Format of a Legder Account
- Posting – Meaning, Necessity, Procedure
- Compound Entry
- Meaning, Recording and Posting of Opening Entry
- Balancing of Accounts – Meaning, Significance, Procedure

1.0 MEANING OF AN ACCOUNT

An Account is a summary of relevant transactions at one place relating to a particular head. It records not only the amount of transaction but also their effect and direction.

2.0 TRADITIONAL CLASSIFICATION OF ACCOUNTS

The classification of accounts according to the Traditional Approach is given below:

Classification of Accounts according to Traditional Approach

Types of Accounts	*Meaning*	*Examples*
(a) **Personal Accounts**	These accounts relate to natural persons, artificial persons and representative persons.	**Natural–**Ram's A/c **Artificial–**Ram & Co.'s etc **Representative–**Outstanding Salary A/c, Prepaid Insurance
(b) **Real Accounts**	These accounts relate to the tangible or intangible real assets.	**Tangible–**Land A/c **Intangible–**Goodwill A/c
(c) **Nominal Accounts**	These accounts relate to losses, profit & gains.	**Expenses–**Purchases A/c **Loss–**Loss by fire A/c **Profits & Gains–**Sales A/c, Discount Received A/c

3.0 ACCOUNTING EQUATION BASED CLASSIFICATION OF ACCOUNTS

The classification of accounts according to Accounting Equation Approach is given below:

Classification of Accounts according to Accounting Equation Approach

Types of Accounts	*Meaning*	*Examples*
(a) **Assets Accounts**	These accounts relate to Tangible *or* Intangible real assets.	Land A/c, Building A/c, Cash A/c, Goodwill, Patents.
(b) **Liabilities Accounts**	These accounts relate to the financial obligations of an enterprise towards outsiders.	Trade Creditors, Bank overdraft, Short-term loans, Long-term loans.
(c) **Capital Accounts**	These accounts relate to owners of an enterprise.	Capital A/c, Drawings A/c.
(d) **Revenue Accounts**	These accounts relate of the amount charged for goods sold *or* services rendered *or* permitting others to use enterprise's resources yielding Interest, Royalty *or* Dividend.	Sales A/c, Discount Received A/c, Dividend Received A/c, Royalty Received A/c, Interest Received A/c.
(e) **Expenses Accounts**	These accounts relate to the amount incurred *or* lost in the process of earning revenue.	Purchases A/c, Discount Allowed A/c, Salaries A/c, Interest Allowed A/c, Loss by Fire A/c.

4.0 COMPARISON OF TRADITIONAL CLASSIFICATION AND ACCOUNTING EQUATION BASED CLASSIFICATION OF ACCOUNTS

Traditional Classification of Accounts	Accounting Equation Based Classification of Accounts
1. Personal Accounts having debit balances (other than those relating to Owner)	Assets Accounts
2. Personal Accounts having credit balances (other than those relating to Owner)	Liabilities Accounts
3. Personal Account relating to Owner	Capital Account
4. Real Accounts	Assets Account
5. Nominal Accounts relating to Revenue	Revenue Account
6. Nominal Accounts relating to Expenses	Expenses Account

EXAMPLE 1

Classify the following Accounts:

1. Capital brought in
2. Drawings A/c
3. Building Purchased
4. Purchases A/c
5. Sales A/c
6. Carriage inward paid
7. Carriage outward paid
8. Cash received
9. Cash paid
10. Interest paid
11. Interest received
12. Commission paid
13. Commission received
14. Discount allowed
15. Conveyance charges
16. Sales promotion expenses
17. Entertainment expenses
18. Subscription paid
19. Subscription received
20. Light, Power and Electricity
21. Telephone, Postage and Telegram
22. Repairs incurred
23. Insurance premium paid
24. Bad Debts written off
25. Bad Debts recovered
26. Discount received
27. Printing and Stationery bought
28. Furniture and fixtures purchased
29. Bank A/c
30. Wages and Salaries paid
31. Travelling charges
32. Current A/c of a partner
33. Loan Account of a partner
34. Sales Returns
35. Bank Overdraft
36. Purchases Returns A/c
37. Outstanding Salary A/c
38. Prepaid Rent A/c
39. Interest accrued A/c
40. Interest received in advance A/c

SOLUTION

(a) According to Traditional Approach

(i) Personal Accounts – 1, 2, 29, 32, 33, 35, 37, 38, 39, and 40

(ii) Real Accounts – 3, 8, 9, 27, 28

(iii) Nominal Accounts – 4, 5, 6, 7, 10 to 26, 30, 31, 34, 36

(b) According to Accounting Equation Approach or Modern Approach

(i) Assets Accounts – 3, 8, 9, 27, 28, 29, 38, 39
(ii) Liabilities Accounts – 33, 35, 37, 40
(iii) Capital Accounts – 1, 2, 32
(iv) Revenue Accounts – 5, 11, 13, 19, 25, 26, 34
(v) Expenses Accounts – 4, 6, 7, 10, 12, 14 to 18, 20 to 24, 30, 31, 36

5.0 MEANING AND RULES OF DEBIT AND CREDIT

1. Basically debit means to enter an amount of transaction on the left side of an account and credit means to enter an amount of transaction on the right side on an account.
2. In Accounting the abbreviated form Dr. stands for debit and Cr. stands for credit.
3. Both debit and credit may represent either increase or decrease depending upon the nature of an account.
4. Debit in relation to Assets Accounts and Expenses Accounts represents an increase but in relation to Liabilities Accounts, Capital Accounts and Revenue Accounts represents a decrease.
5. Credit in relation to Assets Accounts and Expenses Accounts represents a decrease but in relation to Liabilities Accounts, Capital Accounts and Revenue Accounts represents an increase.
6. The Rules for Debit and Credit are given below:

Rules for Debit and Credit when the Accounts are classified as Personal, Real and Nominal

Types of Accounts	*Rules for Debit*	*Rules for Credit*
(a) **For Personal Accounts**	Debit the Receiver	Credit the Giver
(b) **For Real Accounts**	Debit What Comes in	Credit What Goes out
(c) **For Nominal Accounts**	Debit All Expenses and Losses	Credit all Gains and Profits

Rules for Debit and Credit when the Accounts are classified on Accounting Equation Basis

Types of Accounts	*Rules for Debit*	*Rules for Credit*
(a) **For Assets Accounts**	Debit the Increase	Credit the Decrease
(b) **For Liabilities Accounts**	Debit the Decrease	Credit the Increase
(c) **For Capital Accounts**	Debit the Decrease	Credit the Increase
(d) **For Revenue Accounts**	Debit the Decrease	Credit the Increase
(e) **For Expenses Accounts**	Debit the Increase	Credit the Decrease

EXAMPLE 2

Which rule of Debit and Credit is applicable for each of the accounts referred to in Example 1?

SOLUTION

Rules of Debit and Credit according to Traditional Classification

— Rule No. 1	Debit the receiver and credit the giver for 1, 2, 29, 32, 33, 35, 37, 38, 39 and 40.
— Rule No. 2	Debit what comes in and credit what goes out for 3, 8,9, 27, 28.
— Rule No. 3	Debit all expenses and losses and credit all gains and profits for 4, 5, 6, 7, 10 to 26, 30, 31, 34 and 36.

Rules of Debit and Credit according to Modern Classification

(a) **For Assets Accounts**	Debit the Increase and credit the Decrease for 3, 8, 9, 27, 28, 29, 38, 39.
(b) **For Liabilities Accounts**	Debit the decrease and credit the increase for 33, 35, 37, 40.
(c) **For Capital Accounts**	Debit the decrease and credit the increase for 1, 2, 32.
(d) **For Revenue Accounts**	Debit the decrease and credit the increase for 5, 11, 13, 19, 25, 26, 34.
(e) **For Expenses Accounts**	Debit the increase and credit the decrease for 4, 6, 7, 10, 12, 14 to 18, 20 to 24, 30, 31, 36.

6.0 MEANING AND FORMAT OF JOURNAL

Meaning of Journal, Jornalising and Journal Entry

Journal	A Journal is a book in which transactions are recorded in the order in which they occur i.e., in chronological order. A Journal is called a book of prime entry (also called of original entry) because all business transactions are entered first in this book.
Journalising	The process of recording a transaction in a journal is called **Journalising**.
Journal Entry	An entry made in the journal is called a **Journal Entry.**